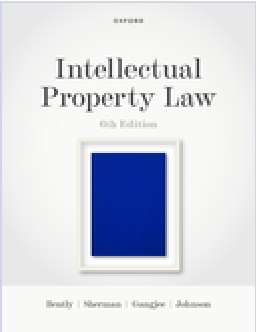


Intellectual Property Law (6th edn)

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# p. 1149 41. Trade Mark Defences

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https://doi.org/10.1093/he/9780198869917.003.0041
**Published in print:** 31 October 2022
**Published online:** October 2022

## Abstract

This chapter is about the various defences that are available to a person who has been accused of infringing a trade mark under the Trade Marks Act 1994. A prominent limitation on the scope of protection, which operates defensively, is whether the defendant has made a legally relevant use of the mark. Besides this, the defendant is excused if the mark has been used (i) as the defendant's own personal name or address, (ii) for descriptive purposes, or (iii) to indicate the intended purpose of a product or service. These three uses are subject to a proviso testing for whether the use has been in accordance with honest practices in industrial and commercial matters. Additional defences facilitate comparative advertising and permit parallel importation via the exhaustion of the trade mark owner's rights upon first sale. The chapter concludes by considering how expressive interests and the freedom of expression are balanced against trade mark rights. It also reviews the defence of honest concurrent use.

**Keywords:** defences, infringement, own name, descriptive use, referential use, comparative advertising, freedom of expression, honest practices, exhaustionhonest concurrent use

## 1 Introduction

In this chapter, we explore the various defences that are available to a person who has been charged with trade mark infringement. While the defences to trade mark infringement have always been important, the expanded scope of protection provided under the Trade Marks Act 1994 means that defences should have a more prominent role, as a counterbalance.[1] It should be noted that a common tactic for a defendant who is accused of infringement is to assert that the claimant's registered right was invalidly registered or that it ought to be revoked. These issues have been considered in Chapters 36, 37, 38, and 39.

## 2 Use of Registered Mark

The first defence to a claim of infringement of a trade mark is set out in section 11(1) of the 1994 Act.[2] This provides that a trade mark is not infringed by the use of another registered trade mark in relation to goods or services for which the later mark is registered. In effect, section 11(1) provides that registration gives a defence to an action for infringement, subject to certain qualifications. This is in contrast to the situation in copyright law where a person can simultaneously exploit their own work and infringe someone else's. The p. 1150 immunity conferred by registration acts as an incentive for traders to apply for trade ↵ mark registration.[3] Section 3(1) clarifies that the defence to infringement exists only to the extent that the registered mark relying on it 'would not be declared invalid pursuant to section 47(2A) or (2G) or section 48(1)'.[4] The gist of this provision is that the defence is viable unless the later registered mark would be declared invalid on relative grounds. When assessing whether the invalidity claim will be successful, tribunals must recognize that invalidation will be unsuccessful—and the registration defence effective—where (i) the relevant five-year grace period has elapsed since the date of registration and the earlier mark has not been used (section 47(2A)); (ii) the earlier mark is itself vulnerable to an invalidity challenge, lacking distinctiveness under section 3(1)(b), (c), or (d) at the time of its application and had not subsequently acquired distinctiveness; or had not been sufficiently distinctive to support a challenge under section 5(2) at the time the later mark was applied for; or had lacked a reputation where dilution was being claimed under section 5(3)(a) at the time the later mark was applied for (section 47(2G)); (iii) where statutory acquiescence applies, provided the proprietor of the senior mark was aware of the junior mark and did not object for a period of five years (section 48(1)). Section 3(1B) also clarifies that where such a defence is successful, this will introduce a qualified form of coexistence, since the earlier mark is also insulated against an infringement claim based on the later mark.[5] In effect, neither mark proprietor will be able to proceed against the other for infringement.

## 3 Use of Name or Address

Section 3(2)(a) of the 1994 Act provides that a registered trade mark is not infringed by 'the use by an individual of his own name or address'. The TMD 2015 specified that only natural persons can avail of this defence, which diminishes the relevance of prior authorities applying this defence to trade names or company names. As with all of the defences in section 11(2), this is subject to the proviso that the use is 'in accordance with honest practices in industrial or commercial matters'.

### 3.1 Use of Name

In contrast with the law of passing off,[6] trade mark law provides a defence to a claim of infringement where an individual uses their own name. This defence is all the more important because of the way in which section 3(1)(b) of the Act has been interpreted in relation to surnames, which leaves open the possibility that the first person to apply to protect a surname as a trade mark in a given field will be able to obtain protection,[7] and that there will on its face be a case of infringement where others utilize their own names.[8]

p. 1151 ↵ The defence previously applied to company, shop, or trading names as well as personal names.[9] The recent legislative contraction to personal names is therefore significant.[10] While infringing acts carried out prior to the new, more restricted version of the defence taking effect were grandfathered and therefore insulated,[11] the contraction to personal names was also unsuccessfully challenged on the grounds that it constitutes an unjustified or disproportionate interference with EU fundamental rights, including the freedom of expression and freedom to conduct a business.[12] While an interference with both rights could be established, the contraction of the scope of the defence was justified by its legitimate objectives and did not exceed the limits of what was necessary to achieve those objectives. In other words, it satisfied a proportionality check. Considered against the backdrop of legislative discretion to achieve these objectives (primarily, the protection of trade marks as property), this contraction was not manifestly inappropriate.

Previous authorities do however remain relevant on the issue of whether variations of one's own name qualify under this defence. The question has arisen as to how much a trading name might vary from the related corporate or personal name and still fit within the exception. The English courts had previously favoured a restrictive interpretation, permitting only slight variation from the formal registered company name, for example by dropping 'Ltd',[13] but not more substantial abbreviations,[14] nor the adoption of a trading name.[15] However, the Court of Appeal decision in *Hotel Cipriani*[16] signals a more flexible approach. There is no per se rule that a trading name is not a person's own name, although a substantial variation from it is not. Thus Cipriani Grosvenor Street was able, in principle, to rely on the defence to justify using the name 'Cipriani (London)', its trading name, even though such use would otherwise have infringed the claimant's CIPRIANI mark, but not 'Cipriani' (which was not its name at all).[17] The High Court had previously held that the section 11(2)(a) defence would not apply to the use of a nickname,[18] but the Court of Appeal indicated the opposite—that:

> [I]n principle an individual ought to be able to use the defence in relation to an adopted name by which he or she is known for business purposes or generally, for example an actor's stage name or a writer's nom de plume.[19]

## 3.2 Honest Practices

The notion of 'honest practices in industrial and commercial matters' has its origins in the provisions of the Paris Convention that require member states to take steps to p. 1152 prohibit unfair competition.[20] The thinking behind its introduction is that certain uses of a registered mark by third parties should be permissible, but only insofar as they do not legitimize unfair competitive practices by the third party. Simply fitting into one of the specified categories—using one's own name or using a sign descriptively—is not enough to avail of that defence. The basis for that use and its effects upon the trade mark proprietor must also be factored in. The Court of Justice has therefore interpreted the proviso as imposing 'a duty to act fairly' towards the trade mark owner.[21] The same approach is taken in relation to all three defences in section 11(2),[22] although the application may vary from one situation to another.

As opposed to purely subjective honesty assessed from the defendant's perspective, this is an objective test. It requires the circumstances to be viewed globally,[23] taking into account how the sign came to be adopted,[24] the impact of the use on the interests of the proprietor of the mark, the knowledge of the alleged infringer,[25] and the efforts that they make to ensure that there is no confusion or unfair advantage.[26] It is now clear that the proviso does not preclude use of a sign as a trade mark by the defendant.[27] In deciding whether use of a trade mark is in accordance with honest practice, a tribunal needs to examine the overall presentation of the goods (or advertising of the services) by the defendant.[28]

Despite the framing of the test of honest practices in terms of broad notions of fairness, dependent on an overall understanding of the circumstances, in at least one case the Court of Justice appears also to have indicated that there are some minimum conditions that must be met before the defence can come into play.[29] More specifically, the Court has p. 1153 indicated that a use will not be in accordance with honest practices if it is done in such a manner that it may give the impression that there is a commercial connection between the reseller and the trade mark proprietor,[30] if the use affects the value of the trade mark by taking unfair advantage of its distinctive character or repute,[31] if it discredits or denigrates that mark,[32] or if it presents its product as an imitation or replica of the product bearing the trade mark.[33] These latter factors seem to have been drawn from the Directive on Misleading and Comparative Advertising (under which they operate as conditions, rather than factors). English case law, like the earlier Court of Justice jurisprudence,[34] treats these as 'important factors' in the overall assessment, rather than as necessary conditions.[35] As will become clear, this more flexible approach has much to be said for it—after all, we are assessing 'fairness'.

The first two of the conditions (or factors) warrant a little further elaboration. In the first instance, the defence will not be available if consumers would understand the use of the trade name to be implying a link with the trade mark owner,[36] for example by suggesting that the trader's business is part of or affiliated with the trade mark owner's business.[37] This will doubtless depend on exactly how the defendant used the sign (in displays, advertising, packaging, or on the product) and how observant the average consumer is likely to be. The Court of Justice said that this was a question of fact to be decided by national courts.[38] However, it has also indicated that some confusion may be permissible: the Court in *Gerolsteiner*[39] acknowledged that the defences might be available even though there was some limited evidence of aural confusion. Presumably, the greater the level of confusion, the more likely that the use will be regarded as falling outside the defence.[40] A distinction is also drawn between *actual* instances of confusion or harm to other functions of the mark, which makes a successful defence less likely and the *risk or possibility* of harm, where the defences remain in play.[41]

Later cases have added that it is important also to consider the extent to which the defendant was aware, or ought to have been aware, that the consumer would consider there to be a link. If it is obvious to the defendant that such a conclusion would be drawn by consumers, then most likely the use will not be regarded as honest.

In *Portakabin v. Primakabin*,[42] the Court indicated that even if the defendant's use of the sign on its goods falls within the terms of the equivalent to section 11(2), it will rarely p. 1154 be in accordance with honest practices to utilize that trade mark as a keyword to generate adverts, at least if it is not clear from those adverts that the two enterprises are unconnected economically. The Court did not close the door completely, however.[43]

Second, the Court has emphasized that the defendant's use must not take 'unfair advantage' of the reputation associated with the mark. However, the mere accrual of some 'advantage' is not determinative: the Court of Justice has said that if there is no risk that the public will be led to believe that there is a commercial connection between the trader and the trade mark proprietor, the mere fact that the trader derived an advantage from using the mark (e.g. because the advertisements lend an aura of quality to their business) would not of itself mean that the use was dishonest.[44]

The emphasis in the case law on 'unfair advantage' is, in many respects, understandable, but any attempt to elevate it into a condition for the operation of the defence must be regarded as regrettable for two reasons. Both reasons stem from the fact that the same language appears as a condition for liability in the context of 'dilution', discussed in detail in Chapter 38, and the concepts have been assumed to be identical.

The first objection is that this understanding of section 11(2) denudes it of any role in actions for infringement based on section 10(3).[45] Because 'unfair advantage' is one of the conditions for liability, if 'unfair advantage' precludes a defence, then there can never be a defence to any such claim. The danger of circular reasoning is worth highlighting: (i) infringement is established, (ii) whereupon the defendant reaches for the defences, (iii) only to find themselves unable to establish 'honest practices', since the same factors giving rise to infringement resurface as obstacles under the proviso.[46] The same reasoning applies insofar as section 10(3) provides for liability based on blurring and tarnishment, and the existence of any blurring or tarnishment could also be said to preclude the defence. All of this is regrettable because it is precisely in situations in which liability extends beyond confusion that most commentators regard there to be a pressing need for exceptions.[47] The inevitable effect of removing the availability of the section 11(2) exceptions from section 10(3) claims is to force tribunals to develop the language of 'due cause' (so that there is no liability to begin with). Thus while use of a sign comprising a third party's keyword may necessarily confer an economic advantage, in *Interflora*[48] the Court seemed to recognize that a trade might have 'due cause' to utilize a keyword (there, in order to offer alternatives to the trade mark proprietor's goods to the consumer).

The second objection to a rule that the existence of unfair advantage precludes the operation of the section 11(2) defences is that the concept of 'unfair' advantage has itself p. 1155 been deprived of much content. Indeed, as we saw in Chapter 38, the notion of 'unfairness' has been equated with the deliberateness of the use. One possible way in which to avoid an undesirably restrictive application of the defences would be to give 'unfairness' a different meaning when deciding whether an act is in accordance with honest practices (as the Court did in the *BMW* case[49]). It might be added that similar problems would be caused were it to be concluded that it is a condition for the operation of the defence that a use must not be detrimental to the distinctive character of a mark, given that jurisprudence suggests that if there is a likelihood of confusion, then there is detriment to distinctive character.[50] Because there is no 'due cause' limitation on section 10(1) (double identity) or section 10(2) (confusing similarity) liability, elevating these factors into conditions could potentially deprive the defences of all operation.[51]

Drawing back from the specifics of unfair advantage, the reforms to EU trade mark law have explicitly acknowledged the need to balance the interests of trade mark proprietors with competitors and other third parties. The content of honest practices must now be expanded to include considerations relating to artistic expression and the freedom of expression, as well as fundamental rights more generally.[52] In light of the general legislative reframing of the exceptions which occurred in 2018, it is an opportune moment to reconsider whether the priority previously given to the legitimate interests of the trade mark owner when assessing honest practices—including in cases of speculative or formalistic trade mark infringement, in the absence of any evidence of actual harm—ought to be superseded by a judicial approach which *additionally* considers the legitimacy or reasonableness of the defendant's use. This is not a radical suggestion. The Court of Justice adopted precisely such an approach to 'due cause', as a corrective to the broad suite of anti-dilution rights, where the reasonableness of the defendant's use was also given importance.[53] Relatedly, it has been argued that the honest practices proviso should be more 'empirically based'.[54] Where a defendant otherwise fits within one of three exceptions and meaningfully attempts to distinguish their sign from that of the trade mark owner, thereby minimizing any possible harm without necessarily eliminating any risk of it, such efforts should count towards satisfying the honest practices proviso.

## 4 Descriptive Use

Section 3(2)(b) provides that a registered trade mark is not infringed by the use of signs or indications which are not distinctive or which concern the kind, quality, quantity, intended purpose, value, geographical origin, time of production (goods) or of rendering (services), or other characteristics of goods or services. This is subject to the proviso p. 1156 ↵ that the use is in accordance with honest practice in industrial or commercial matters. Although descriptive terms are inherently unregistrable,[55] as noted in Chapter 37, if a descriptive term becomes registrable because it has 'acquired distinctiveness' through use, the section 11(2)(b) defence ensures that the rights conferred on the proprietor do not restrict other traders from using the same word or sign to describe goods or services.[56]

### 4.1 Descriptiveness

The notion of descriptive use is not limited to 'purely descriptive' uses such as those that have no effect on the functions of a trade mark, and thus might include, for example, descriptive use in advertising.[57] The most obvious situation in which the section 11(2)(b) defence applies is where a trader uses a sign that is a registered trade mark to describe their own goods, for example where, in the face of the trade mark BABY DRY registered for diapers, a competitor advertises its own nappies with the slogan 'guaranteed to keep your baby dry'.

The defence can also apply where a person uses a descriptive indication as part of their own trade mark. For example, in *Gerolsteiner Brunnen v. Putsch*,[58] the question referred to the Court of Justice was whether bottled water bearing the mark KERRY SPRING could rely on the defence to an action brought by the owner of the registered mark GERRI for mineral water. Although the defendant used the sign 'as a trade mark', the Court accepted that the sign KERRY SPRING was also an indication of geographical origin within Article 6(1)(b) of the Directive (which was implemented as section 11(2)(b)). The fact that a sign is used additionally as a mark may be a factor pertinent to the assessment whether the use is in accordance with honest practice, rather than whether the sign indicated geographical origin.

However, there are now a number of relatively clear situations in which the descriptiveness defence cannot be relied upon. It does not apply where a person uses the mark to describe the claimant's goods, also referred to as nominative or referential use (as with 'PAMPERS soak up twice as much liquid as BABY DRY'),[59] nor to the use of third-party marks as 'keywords' to generate advertising.[60] Moreover it does not justify 'decorative' use. In *Adidas v. Marca Mode*,[61] the Court of Justice explained that a decorative use (in the case of two stripes on athletic clothing) is not a descriptive indication.

A more difficult case is the use of a trade marked feature of a product to indicate that what is being sold is a representation or miniature model of the product (that the seller is entitled to make or sell). In *Adam Opel v. Autec*,[62] the well-known car manufacturer Opel had registrations of its logo for cars and toys (see Fig. 40.1, section 10.1), and brought ↵ an action against Autec, which featured the Opel logo on its replica toys. The defendant asserted that this could be regarded as use to describe the goods—that is, to indicate that the goods were replicas of cars made by Opel. The Court of Justice indicated that Article 6(1)(b) of the Directive could not be stretched to exempt such uses (if indeed they fell within Article 5 of the Directive). The Court stated bluntly that:

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> The affixing of a sign which is identical to a trade mark registered, inter alia, in respect of motor vehicles to scale models of that make of vehicle in order to reproduce those vehicles faithfully is not intended to provide an indication as to a characteristic of those scale models, but is merely an element in the faithful reproduction of the original vehicles.[63]

It therefore contradicted Advocate-General Colomer's view that such use should be within the exception. Unfortunately, it is unclear why the use of the logo is not regarded by the Court of Justice as a use that indicates that the toy is a replica of the Opel car.

## 4.2 Extension to Non-distinctive Elements

The descriptive use defence in section 11(2)(b) has been extended to 'the use of signs or indications which are not distinctive'.[64] One reading of this new language is that it embodies the teachings of *Hölterhoff*, insulating purely descriptive uses of the whole sign by the defendant against infringement.[65] However, such use is non-infringing since it is deemed not to harm any of the functions of a trade mark. If there is no infringement, surely no defence is necessary. Therefore, the preferred reading is that this new addition seeks to filter out non-distinctive *elements* within otherwise-distinctive trade marks. It emerges as a counterweight to the proposal in the Max Planck study to do away with disclaimers in European trade mark law, which was

eventually adopted.[66] At the time of registration if trade mark applicants can no longer volitionally disclaim non-distinctive elements of a complex mark, or be asked to do so by registries, alternative mechanisms are required to permit the use of these elements by third parties. It continues to be necessary to filter out such elements because of the manner in which the infringement analysis—and the comparison between marks or signs in particular—operates.[67] For instance, a composite mark may incorporate figurative elements which are not distinctive; they may be descriptive of the product, decorative flourishes, or simply banal. Nevertheless, if these elements are visually dominant, they are presumed to be noticed by consumers and contribute to a finding that the signs are similar. Two marks which share non-distinctive or weakly distinctive features can therefore be in conflict. This new addition to the defence might enable traders to use non-distinctive components of earlier registered marks in their own signs, or to selectively use functional or ornamental elements of shape marks that have been registered on the basis that the mark as a whole is not 'exclusively' functional or ornamental.[68] Thus conceived, this new legislative addition is a mechanism to use
p. 1158 elements of ↵ a registered mark which ought to remain accessible to other traders, subject to the honest practices proviso. Similar reasoning can be extended to descriptive (i.e. non-distinctive) elements of word marks. This is illustrated by a dispute between the claimant's mark VAGISIL and the defendant's use of DR WOLFF'S VAGISAN, both alluding to treatments for vaginal conditions.[69] The defendants submitted that the use of VAGI, the common element, would be understood descriptively by consumers but the High Court did not permit them to compartmentalize their mark in this manner. The mark as a whole was not descriptive and so the conventional descriptive use defence remained inapplicable. Given the diminished role for disclaimers, the proposed reading of 'non-distinctive'—applying to non-distinctive elements within a mark, along the lines of holes in Swiss cheese—should be given serious consideration by British courts. In this respect, its application would be rather different from the broader descriptive use exception within which it appears. It is otherwise challenging to make sense of the seemingly permissible use of 'signs or indications which are non-distinctive', since the claimant's sign has already proved its distinctiveness credentials by qualifying as a registered trade mark.

## 4.3 Honest Practices

A descriptive use will provide a defence only if it is in accordance with 'honest practices in industrial and commercial matters'.[70] Readers are referred back to the discussion in section 3.2 of this chapter. By way of an illustration, the defence would have succeeded where the producers of TOMATIN Scotch whisky claimed that the neighbouring Tomatin Trading Company infringed their rights.[71] Had the infringement claim been successful, a (geographically) descriptive use defence would have been available since Tomatin was the village in Scotland where the defendant was based and the average consumer would have understood this from their use. The defendant's subjective knowledge that the proposed development including a hotel, farm shop, and restaurant might benefit from visitor traffic to the claimant's better-known distillery did not amount to dishonest practices. By contrast, where the defendant sold its competing high visibility equestrian safety products under the HyVIZ Silva Mercury Reflective label, this infringed the claimants mark MERCURY for identical products. Mercury was not sufficiently directly descriptive for reflective fabrics. Furthermore, by consciously imitating the claimant's mark such that both likelihood of confusion and unfair advantage were established, this similarity was not justifiable as an honest practice.[72]

## 5 Referential Use Including Use to Indicate the Intended Purpose

Section 3(2)(c) of the 1994 Act has been reformulated in 2018 such that it now contains both a general permission and a particular instance of that type of permitted use. It broadly permits 'the use of the trade mark for the purpose of identifying or referring to goods or services as those of the proprietor of that trade
p. 1159 mark'. This is conventionally ↵ described as nominative or referential use, that is, where the defendant uses the mark to talk about the claimant's products sold under the mark.[73] Consider a commercial product review website which refers to the products it evaluates by their trade marks, or the parodist seeking to criticize a brand's labour practices by using a modified-yet-recognizable version of their logo, or else an unauthorized repair service provider advertising its expertise in a certain type of product repair. It should be noted that both comparative advertising and parallel importation—considered later in this chapter—involve specific forms of referential use but are governed by separate regimes. An important sub-category of referential use *is* expressly mentioned in section 11(2)(c); namely, where 'that use is necessary to indicate the intended purpose of a product or service (in particular, as accessories or spare parts)'. Previously, the defence only permitted this narrower 'intended purpose' sub-category, which is therefore prominent in the existing case law. Both the general permission and the specific instance are subject to the proviso that the use must be in accordance with honest practice in industrial or commercial matters.

In effect, this defence recognizes that while a trader may not be formally linked to the trade mark owner, they might find it necessary to refer to the trade mark as a part of the normal course of their trade. This would occur, for example, where a trader sells spare parts for a particular type of product.[74] In these circumstances, the trader will wish to inform consumers that the parts fit particular products. The most efficient way in which this can be done is by referring to the trade mark for that product. Another situation in which it will be necessary to use a trade mark in the course of trade is where a trader repairs a particular brand of goods (such as SONY televisions). If trade mark owners were able to control all such uses, they would unfairly restrict trade. As the Court of Justice said, in the context of the narrower 'intended purpose' version of the defence, the equivalent provision in the TMD seeks to reconcile the 'fundamental interests of trade mark protection with those of the free movement of goods and freedom to provide services'.[75]

The scope of the previous version of this defence was considered by the Court of Justice in *BMW v. Deenik*.[76] The defendant in this action ran a garage that specialized in repairing and maintaining BMW cars. Notably, he was not a part of the official BMW dealer network. BMW claimed that when the defendant described himself as specializing in the repair and maintenance of BMWs, he made unlawful use of the BMW mark. The Court of Justice disagreed, explaining that, in these circumstances, the defendant could rely on the defence. This was because the defendant could not communicate the fact that he repaired and maintained BMW cars without using the BMW mark.[77] In relation to the question of whether the use was *necessary* to indicate the intended purpose, the Court of Justice said that 'if an independent trader carries out the maintenance and repair of BMW cars or is in fact a specialist in the field, that fact cannot in practice be communicated to his customers without using the BMW mark'.[78]

The Court of Justice revisited the question of the scope of this exception in *Gillette*.[79] In this case, the claimant, Gillette, had registered trade marks for the words GILLETTE and SENSOR for razors. The defendant
p. 1160 was selling blades under its mark PARASON ↵ FLEXOR, with a sticker on the packaging stating that 'all

PARASON FLEXOR and GILLETTE SENSOR handles are compatible with this blade’. When Gillette sought to prevent this, the Finnish courts were uncertain as to whether the blades constituted ‘spare parts’ and therefore referred the matter to the Court. The Court of Justice responded by observing that the scope of the exception was not limited to spare parts and accessories, which were simply examples of possible intended uses of goods that would likely fall within the exception. The Court therefore stated that it was unnecessary to decide whether blades were accessories or spare parts; instead, the key issue was whether it was ‘necessary’ to refer to Gillette’s marks to indicate the intended purpose of the blades. The Court helpfully explained that this would be so only if it were necessary to use the trade mark to provide the public with comprehensible and complete information about the intended purpose of the product (including its compatibility). Having given a generally broad definition of the scope, the Court gave a rather narrow interpretation of ‘necessary’ when it stated that this meant that use of the claimant’s trade mark must be the only way of conveying the relevant information. Consequently, where technical standards and other norms are available that are well understood by the public, it would not be necessary to use the claimant’s trade mark to convey full information about compatibility. Armed with this advice, the Helsinki Supreme Court held that the reference to GILLETTE and SENSOR was indeed ‘necessary’ (and in accordance with honest practices).[80] After the amendments in 2018, the necessity enquiry seems more appropriate to consider as one factor under honest practices, specifically in the intended purpose context, since the broader version of the defence—legitimate nominative or referential use—does not contain any reference to necessity. Over time, it is likely that the purpose behind the reference to the proprietor’s mark (e.g. whether the defendant’s parody seeks to make a socially relevant criticism) will become the principal focus, to be addressed via the honest practices proviso.

## 5.1 Referential Use in General

As a consequence of the recasting and reform of EU trade mark law, the ‘intended purpose’ defence has been extended to be a more general referential use defence. In the United States, a body of case law has emerged in which traders are permitted to use trade marks to refer to the trade mark owner’s goods or services.[81] The amended EU law would offer equivalent freedom to actors within the United Kingdom. Any use of a trade mark ‘for the purpose of identifying or referring to goods or services as those of the proprietor of the trade mark’ is permitted, as long as the use complies with the proviso.[82] The amended legislation now clarifies that referential use in order to honestly indicate the resale of genuine goods bearing the trade mark is permitted under this provision. So is fair referential use, ‘for the purpose of artistic expression’, provided it satisfies the honest practices proviso.[83] p. 1161 ↵ There is recognition in EU legislation, the source of the amended domestic defences, that they ‘should be applied in a way that ensures full respect for fundamental rights and freedoms, and in particular the freedom of expression’.[84]

## 5.2 Honest Practices

For the defence to be available, the use must be ‘in accordance with honest practices in industrial and commercial matters’. Readers are referred back to the discussion in section 3.2 of this chapter. In this context, the key danger that a trader must avoid is that consumers believe there to be an affiliation leading to some form of origin confusion; for example that a repairer of automobiles is an ‘authorized repairer’ or that a provider of spare parts is, in fact, associated with the original manufacturer.[85] Where the defendant’s use of the mark misleadingly suggests a connection—for example, being an authorized repairs garage—this should be initially analysed as part of the infringement analysis.[86] Evidence of misleading use is relevant once again as it reduces the prospects for satisfying the 'honest practices' proviso.[87] Although we have argued that the question of honest practices should be assessed by reference to 'factors', it is particularly significant in this context that the Court of Justice has emphasized that absence of confusion, unfair advantage, blurring, and tarnishment operate as conditions. The High Court has suggested that hypothetical instances of the defendant's compatible products being misused—for example, speculative instances where compatible vaping cartridges are not as safe, may contain impurities, or are (relatively) less healthy—cannot be too readily presumed in order to influence the honest practices assessment.[88]

## 6 Comparative Advertising

'Comparative advertising' is the term used to describe advertisements in which the goods or services of one trader are compared with the goods or services of another trader.[89] To show the advertiser's wares in a favourable light, comparative advertisements usually emphasize differences in aspects such as price, value, durability, or quality. In so doing, advertisers often refer to the competitor's products or services by their trade mark. Before proceeding further, it is helpful to set out the European origins of some of the key provisions regulating this activity. The European Union has created specific legislation—the Directive on Misleading and Comparative Advertising (MCAD)[90]—dealing with the circumstances in which comparative advertising is permissible, and those in which it should be prevented.[91]

p. 1162 ↵ In principle, the Directive requires member states to permit comparative advertising,[92] but does so only if the advertisement satisfies the eight conditions specified in Article 4:

(a) it is not misleading within the meaning of Articles 2(b), 3, and 8(1) of this Directive . . . [these oblige member states to provide a minimum of protection against 'misleading' advertising, although leave that concept undefined];[[93]]

(b) it compares goods or services meeting the same needs or intended for the same purpose;[[94]]

(c) it objectively compares one or more material, relevant, verifiable, and representative features of those goods and services, which may include price;[[95]]

(d) it does not discredit or denigrate the trade marks, trade names, other distinguishing marks, goods, services, activities, or circumstances of a competitor;[[96]]

(e) for products with designation of origin, it relates in each case to products with the same designation;[[97]]

(f) it does not take unfair advantage of the reputation of a trade mark, trade name, or other distinguishing marks of a competitor or of the designation of origin of competing products;[[98]]

(g) it does not present goods or services as imitations or replicas of goods or services bearing a protected trade mark or trade name;[[99]]

(h) it does not create confusion among traders, between the advertiser and a competitor, or between the advertiser's trade marks, trade names, other distinguishing marks, goods or services and those of a competitor.

p. 1163 ↵ These conditions are to be interpreted in the sense most favourable to the comparative advertiser.[100] In the United Kingdom, these eight conditions are found in the Business Protection for Misleading Marketing Regulations 2008.[101]

These Regulations form part of a patchwork of provisions, including both legislation and self-regulation, which regulate comparative advertising.[102] One of the most important forms of self-regulation is the UK Code of Non-Broadcast Advertising, Sales Promotion and Direct Marketing (the 'CAP Code'), which was drafted by the Committee on Advertising Practice (CAP) and is administered by the Advertising Standards Authority (ASA).[103] The CAP Code establishes what is primarily a self-regulatory system, and was drawn up by representatives from relevant trade and professional bodies. The Code applies to 'non-broadcast' advertisements in newspapers and other printed publications, cinema and video commercials, and promotions. A parallel code, applicable to broadcast media—the UK Code of Broadcast Advertising (the 'BCAP Code')—is also administered by the ASA.

The CAP Code permits comparative advertising so long as the comparisons comply with provisions derived from the terms of MCAD.[104] Conformity with these requirements is assessed according to the advertisement's probable impact, taken as a whole and in context. The impact that an advertisement has will depend on the audience, the medium, the nature of the product, and any additional material distributed to consumers at the time. Before releasing an advertisement, advertisers must have documentary evidence to prove all claims, whether direct or implied, that are capable of being objectively substantiated.[105] The adequacy of this evidence will be judged against whether it supports both the detailed claims and the overall impression created by the advertisement.

The ASA investigates complaints.[106] The ASA may request that a company withdraw or amend its advertisements or promotions.[107] The judgment of the ASA Council on interpretation of the Code is final,[108] although there is some provision for appeal.[109] A number of sanctions exist to counteract advertisements and promotions that conflict with the Code. The media may deny access to space; the publication of a ruling on the ASA's website may generate adverse publicity; trading sanctions may be imposed or recognition revoked by the advertiser's, promoter's, or agency's professional association; and financial incentives provided by trade, professional, or media organizations may be withdrawn.[110]

This self-regulatory system is reinforced by the Business Protection for Misleading Marketing Regulations 2008, introduced earlier.[111] Under these Regulations, an p. 1164 ↵ enforcement authority, such as the Competition and Markets Authority (CMA), can seek injunctive relief in relation to advertisements that do not comply with the eight conditions regulating comparative advertising.[112]

After an initial period of uncertainty regarding the interaction between trade mark law and advertising regulation (primarily situated within consumer protection law or unfair trading regulation) the position was somewhat clarified. A comparative advertisement that used another's trade mark, but complied with the eight conditions, was considered exempt from liability for trade mark infringement.[113] Where such an advertisement did not comply with the conditions, it almost certainly infringed the proprietor's trade marks rights; this is because *not* satisfying certain conditions in the 2008 Regulations—for example, if the advertisement causes confusion or denigrates a trade mark—should usually result in the equivalent form of trade mark infringement (likelihood of confusion; tarnishment). This position, which developed in case law, has now been formally incorporated into the 1994 Act. Section 3(4)(e) states that a defendant makes relevant use of a sign for the purposes of trade mark infringement if they use 'the sign in comparative advertising in a manner that is contrary to the Business Protection from Misleading Marketing Regulations 2008'.

To begin with, the use of the mark in comparative advertising is regarded as use in relation to the advertiser's goods.[114] Where the defendant uses an identical mark to that registered and the goods being advertised are identical, there is potential infringement under section 10(1).[115] If there is a similar mark and/or the use is for similar goods, there is liability under section 10(2)—and the use necessarily fails Article 4(h) of the MCAD (reg. 4(e) of the Regulations).[116] If the earlier mark has a reputation, then comparative advertising may count as taking unfair advantage of the repute of the trade mark.[117] Because one of the MCAD conditions (Article 4(f)) is that no unfair advantage is taken, and this has the same meaning as section 10(3) of the 1994 Act,[118] the logical conclusion is that the owner of a mark with a reputation can always prevent a competitor from
p. 1165 using that mark in comparative advertising.[119] This conclusion seemed wholly ↵ unsatisfactory.[120] The Court has subsequently clarified that using comparative advertising to sell compatible components is legitimate, notwithstanding the use of the claimant's distinguishing marks (here, identifiable product serial numbers): 'An advertiser cannot be regarded as taking unfair advantage of the reputation of the distinguishing marks of his competitor if effective competition on the relevant market is conditional upon a reference to those marks.'[121] The product compatibility comparison was objective while the defendant's products were clearly distinguishable from those of the claimant, thereby diminishing any risk of misappropriating the claimant's reputation. If we turn to the analytical frame of 'unfair advantage' in trade mark law in such situations,[122] it is clear that a legitimate comparison should not be 'unfair' or alternatively, the safety valve of 'due cause' recognizes the procompetitive benefits of certain referential uses.[123] Stated briefly, both the MCAD (and consequently the 2008 Regulations) as well as trade mark law recognize that not every comparison takes unfair advantage.

Given that the MCAD provides a defence to trade mark infringement, the question has been raised whether, in addition to the eight conditions a further condition of 'indispensability' was required. In *O2 v. Hutchison*,[124] the defendant had advertised its mobile phone service using bubble imagery similar to that for which the claimant had a registered mark (in relation to telecommunication services) (see Fig. 41.1). It was argued by
p. 1166 the ↵ claimant that, to be permissible under the MCAD, the use of a trade mark in a comparative advertisement must be 'indispensable' and that while it might have been necessary for Hutchison to refer to $O_2$, it was not necessary for it to use the bubble marks. Advocate-General Mengozzi's opinion was that there is no such requirement for 'indispensability',[125] but the Court did not deal with this question.

**Fig. 41.1** $O_2$'s bubble trade mark

*Source*: $O_2$

## 7 Local Use

Section 3(3) of the 1994 Act provides that a UK registered trade mark is not infringed by the use in a particular locality of an earlier right that applies only in that locality.[126] An earlier right applies in a locality 'if, or to the extent that, its use in that locality is protected by virtue of any rule of law (in particular, the law of passing off)'. The defence arises only if the use of the earlier right began before both the use and the registration of the claimant's mark.[127] The defence also emphasizes the local nature of the goodwill, as a limited exception favouring coexistence. Where a defendant has national goodwill, the defence will not apply.[128] When assessing the geographical scope of goodwill 'it is necessary to consider the facts relating to the specific business in question and to assess the degree to which persons from across England make use of or seek out a party's services . . . [by examining] how the individual business trades'.[129]

## 8 Exhaustion

Traditionally, trade marks have been territorial in nature, so that a proprietor may own distinct rights in different territories. Typically, those rights have included the right to prevent the import of goods bearing the mark into the territory in which the rights apply.[130] This led to the situation in which the owner of a trade mark was able to use the rights in one territory (A) to prevent the import of goods from another territory (B). This was the case *even where* the goods had been put on the market in territory B with the consent of the owner. In practice, there are a number of reasons why the import of goods from one country to another may be desirable. The most obvious is where the price of the goods is cheaper in territory B than territory A, or where demand in territory A is not being met. At first glance, it seems that if import were permitted, it would be to the advantage of all concerned. The public in territory A would benefit from cheaper products, while the trade mark owner's interests would be satisfied by sale in territory B. However, first impressions give way to
p. 1167 more complex realities. This is because trade mark owners may ↵ have good reasons for wishing to divide markets up and to prevent parallel imports.[131] Given that it may be difficult to distinguish between legitimate and counterfeit goods at the border, parallel importing may also weaken the trade mark owner's capacity to prevent the import of counterfeit goods. Against this backdrop, the exhaustion of trade mark rights, such that they cannot be asserted to prevent parallel trade and the resale of goods, operates as a defence in specific circumstances.

### 8.1 Development of the Basic Rules and Brexit

Prior to the adoption of the Trade Marks Directive, the Court of Justice developed a series of sophisticated rules that detailed the situations in which the owner of a national trade mark for one member state could prevent goods put on the market elsewhere in the European Union from being distributed in that member state.[132] Article 15 of the TMD 2015 and section 12 of the 1994 Act embody the notion of exhaustion developed under this case law.[133] Stated briefly, while primary EU legislation prohibits measures having an effect equivalent to quantitative restrictions on imports within the EU, restrictions on imports can be justified on the basis of intellectual property protection. In an attempt to reconcile these two principles,[134] the Court of Justice recognized the principle of exhaustion of rights, where the goods were placed on the market under a trade mark with the consent of the trade mark proprietor.[135] This principle, also known as the 'first-sale' rule, exists to prevent a trade mark owner from controlling resale or subsequent distribution of products bearing the mark via infringement claims. Upon first sale of the products bearing the trade mark, the owner's rights are exhausted. On the other hand, in order to ensure that trade marks continue to function as indicators of origin and as guarantors of quality to the consumer,[136] the Court also said that the rights were not exhausted where the trade mark owner had a legitimate reason for opposing further circulation of the goods.[137] As we will see in what follows, where there is a risk that the functions of a trade mark will be harmed—for example,
p. 1168 because the condition of the goods has been changed ↵ or impaired—this constitutes a legitimate reason for opposing resale. This logic has been carried over into section 12 of the 1994 Act.

However, the United Kingdom's withdrawal from the EU has led to a reassessment of the design of the exhaustion regime in the future. All EU member states commit to a principle of regional exhaustion, whereby the trade mark proprietor's right to object to resale is exhausted upon first sale anywhere within the

European Economic Area (EEA),[138] subject to the 'legitimate reasons' proviso. From 1 January 2021, the question arose as to which should be the relevant market for the first sale doctrine to operate. The current text of section 12(1) states that a 'registered trade mark is not infringed by the use of the trade mark in relation to goods which have been put on the market in the United Kingdom or the EEA under that trade mark by the proprietor or with his consent'. In other words, the status quo has been preserved. Exhaustion will apply domestically to goods placed on the market in the United Kingdom or anywhere in the EEA, as was previously the case. However, placing goods on the market in the United Kingdom will not exhaust rights across the rest of the EEA; this initial placement is no longer relevant for the EU's regional exhaustion model. Consequently, proprietors of UK trade marks cannot prevent parallel importation from within the EEA. By contrast, traders with national trade mark rights or EUTMs who are based in the EEA can prevent parallel imports from the United Kingdom from entering the EEA. The result is an 'asymmetric' or 'unilateral' exhaustion regime.

In order to develop a long-term solution, a public consultation was launched in June 2021.[139] It envisaged four options:

(i) Continuing with the present 'unilateral EEA' or 'UK+' regime. However while permitting the inflow of parallel imports from the EEA, there is no guaranteed reciprocity from other EEA member states, which jeopardizes the parallel trade of goods from the United Kingdom to the EEA.

(ii) Adopting a national exhaustion regime, where the relevant rights would be exhausted only in relation to goods placed on the market in the United Kingdom. This would reduce the flow of parallel importation, potentially increase prices for certain products, and reduce consumer choice.

(iii) International exhaustion, whereby parallel imports would be permitted from any country where the goods were first placed on the market with the right holder's consent. By implication, this would include parallel imports from the EEA. While this would increase consumer choice, it could also lead to the 'possibility of consumer confusion as goods may come onto the UK market that were intended for other countries' markets. For example, the same books may have different titles in different English-speaking countries or some companies may choose to change product formulations for different countries' markets. There may also be a consumer safety issue due to different regulatory standards in different countries.'[140] Another concern voiced by right holders is that the increase in parallel imports (grey market goods) will make it easier for counterfeits to slip in amongst them. However, this concern is also applicable to the previous (EEA) and present (UK+) regimes, which permit parallel imports from several countries. The benefits to free trade and consumer choice have thus far outweighed this concern.[141]

p. 1169 (iv) ↵ Finally, a mixed regime, which varies according to specific products, sectors, or even IP rights. This has the disadvantage of complexity for both businesses and consumers, especially if the same product is covered by different IP rights. Having analysed the responses to the consultation, the official response at present is that there is 'not enough data available to understand the economic impact of any of the alternatives to the current UK+ regime',[142] The extant legal principles therefore remain relevant for now.

## 8.2 Conditions for Exhaustion

In order for the trade mark owner's rights to be exhausted, two conditions must be satisfied: (i) the goods must have been put on the market in the United Kingdom or the EEA; and (ii) this must have been done by the proprietor or with its consent. It has been said that these two components constitute the 'decisive factors' that extinguish the rights of the trade mark holder (with respect to further commercialization of those goods).[143]

### 8.2.1 Put on the market

In most cases, assessing whether this has occurred will be straightforward. The question is whether the power of disposal of the goods has passed from the mark owner (or its licensee) to a third party. If it has, those goods have been placed on the market.[144]

In *eBay*,[145] however, the Court of Justice, sitting in Grand Chamber, reasoned that the testers and samples of perfumes had not been put on the market at all because they had been distributed to the retailers for free. In so holding, it explicitly contradicted a German Supreme Court decision that had been cited by the referring court.[146] The Court of Justice instead cited its own jurisprudence in the *Silberquelle* case on when there was 'genuine use' of a mark.[147] The reasoning is unpersuasive. In particular, reliance on *Silberquelle* misconstrues that decision. As a leading commentary observes, that case 'does not mean that use on promotional items can never be considered genuine use. The test is whether the proprietor of the mark is using the mark in order to create an outlet for the goods in question.'[148] In *eBay*, promotion was precisely the purpose of giving the samples away. The Court's conclusion that where 'items are supplied free of charge, they thus cannot, as a rule, be regarded as being put on the market by the trade mark proprietor' thus seems incorrect.[149]

Two days later, the Court of Justice decided *Viking Gas A/S v. Kosan Gas A/S*,[150] and again seemed to make exhaustion dependent on sale. The case concerned the sale of refilled gas bottles, and the initial question was whether the rights in the bottles were exhausted. In contrast with *eBay*, the Court said that they were going out of their way to reason that the bottles had been purchased. The purchase was not merely of the gas, p. 1170 because the bottles of gas cost more than gas in canisters and 'are intended for reuse a ↵ number of times, do not constitute mere packaging of the original product, but have an independent economic value and must be regarded as goods in themselves'.[151]

Despite this case law, we think that it would be better for the Court to recognize that exhaustion is a consequence not of 'sale', but of any transfer of property rights in the goods. This is the position in relation to copyright, where transfers other than 'sales' can exhaust rights.[152] Moreover, as a general matter, focusing on the issue of consideration seems to leave downstream actors in some difficulty: goods do not normally indicate whether they were sold or given away, and such actors will not readily obtain access to the contractual details of any initial marketing. Indeed, even if it were clear that the parties designated a transfer of particular items as 'free', an economist would often be sceptical about whether that represented a truthful account of the transaction: think, for example, of 'buy one, get one free'.

For all of these reasons, we are unpersuaded by the rationale offered in *eBay* (and seemingly perpetuated in *Viking*) as to why the trade mark proprietor's rights in the tester bottles and samples were not exhausted. Perhaps the Court should have considered distinguishing between the demonstration units and the samples:

it seems plausible to say that the demonstration units, supplied only to the retailers and distinguishable in form from the goods that were being marketed, were not put on the market at all; with respect to the samples, if they were given to customers by the retailers (as intended), they would have been placed on the market at that point, but if (as seems likely) there had been no such authorized transfer of the units that were being resold on eBay,[153] then the conclusion is best explained as a situation in which there was no consent to transfer of the units at all.[154]

### 8.2.2 Consent

Exhaustion occurs only where the goods have been placed on the market with the 'consent' of the trade mark holder. The concept of consent was harmonized at the EU level long before the United Kingdom left the European Union.[155] Consent must amount to an unequivocal demonstration of an intention to renounce the right to control further distribution.[156] Such consent will usually be express, but could be implied.[157] The Court of Justice has stated that consent may be inferred from facts and circumstances prior to, simultaneous with, or subsequent to the placing of the goods on the market, if those facts and circumstances unequivocally demonstrate that the proprietor has renounced their exclusive rights.[158]

If a licensee markets goods under a licence, this is treated as marketing with the consent of the trade mark proprietor. However, what if goods are placed on the market by a licensee of the trade mark owner, but outside the scope of the licence? In *Copad v. Christian Dior Couture*,[159] Dior marketed its lingerie through a selective distribution agreement that forbade licensees from selling to, among others, discount stores. SIL, a p. 1171 licensee with ↵ a stock of Dior products, found itself in financial difficulty and sold goods, in breach of the agreement, to a discount store operator, Copad. The Court of Justice held that there would be no exhaustion if the marketing occurred in breach of a clause in the licence equivalent to one of those listed in Article 8(2) of the Directive (section 12(2) of the 1994 Act). This indicates that a licensee infringes trade mark rights where they breach terms relating to duration, the form of the trade mark, the scope of the goods or services, the territory in which the mark may be affixed, and the quality of the goods manufactured or services provided by the licensee. If the breach was of one of these five types of term, the marketing was not to be said to be with the consent of the proprietor.[160] Although the list is exhaustive, the Court offered the concept of 'quality' a broad interpretation, saying that, in the case of luxury goods such as those at issue, it was not confined to their physical or material characteristics, but also included its 'aura of luxury'.[161] Whether the breach of the term not to sell to discount stores related to the quality of the goods depended on whether doing so would damage 'the allure and prestigious image which bestows on the goods an aura of luxury'.[162] That was a matter to be assessed by the national court, the Court of Justice offering a series of factors that might be taken into account (the nature of the luxury goods, the volume of sales, whether the sales outside the selective distribution arrangement are regular or occasional, the practices of the purchaser, and the methods of marketing that are normal in the sector).

In *Coty v. Simex*,[163] the question arose as to whether a trade mark proprietor's rights had been exhausted in relation to 'tester bottles' of perfume. The testers had been made available to retailers to use freely in demonstrations, but in formal terms the claimant retained property in the goods. The tester bottles were packaged bearing the words 'demonstration' and 'not for sale', but nevertheless had come into the defendant's hands. As with the decision in *eBay*, the Court found that the trade mark proprietors' rights were not exhausted, but the Court in *Coty* (sitting in Chamber, a couple of years before the *eBay* decision) offered a quite different explanation. The Court reasoned that there was no consent to marketing, rather than that the goods had not been placed on the market at all. Although it was clear that some of the items came from outside the EEA, the Court considered whether the trade mark proprietor could be said to have 'consented' to the marketing of the tester bottles even if they had supplied them to retailers in the EEA. The Court suggested that providing tester bottles in this way would not amount to 'consent' to placing the goods on the market, given the labelling.[164]

## 8.3 Legitimate Reasons to Prevent Further Dealings in Goods Bearing the Mark

Trade mark owners are able to utilize their rights to prevent further dealings in goods bearing their mark that have been placed on the relevant market only when there are 'legitimate reasons' to do so.[165] The mere fact that the further dealing is to another trader's advantage is not a legitimate reason for the trade mark owner to
p. 1172 prevent the use from ↵ taking place.[166] However, there are a number of situations in which a trade mark owner may have a legitimate reason to oppose further dealings in goods bearing the mark. These include situations in which the goods are altered or repackaged, or in which the mark is altered, or in which the goods or services are advertised. We will consider each in turn.

### 8.3.1 Altering the goods

One situation in which a trade mark owner has a legitimate reason to oppose further dealings in a mark is where the condition of the goods has changed or been impaired after they have been put on the market. For example, a trader that manufactures and sells video-game consoles under a particular registered mark in France may wish to prevent another trader from exporting the console from France to the United Kingdom, opening the packaging, adding adaptors to enable the console to work in the United Kingdom, and selling the repackaged goods. The trade mark owner may have a legitimate reason to object to the resale of such goods, for example if the adaptor is of a different standard from that which the trader would supply in the authorized UK packages—at least where the repackaged goods do not clearly indicate the origin of the adaptors.[167] If the owner were unable to control such acts, the role that the mark plays in enabling the trade mark proprietor to control the quality of products placed on the market under the mark would be undermined.

Change in the characteristics of the goods is not only objectionable where it interferes with the capacity of the mark to guarantee origin (and thus quality), but also may be objectionable if it seriously affects the reputation associated with the mark. In *Viking Gas v. Kosan*,[168] the Court of Justice held that while trade mark rights in the shape of bottles that had been sold as gas containers were exhausted, the trade mark holder might nevertheless have grounds on which to object to the later sale of such bottles refilled with gas from other sources. Whether this was so would depend on how they were labelled and the circumstances in which the bottles were resold or exchanged. For the sales to be unobjectionable, the labelling must make clear that there is no commercial connection between the trade mark holder and both the reseller and the provider of gas that it contains. Whether an erroneous impression exists depends on the practices in the sector, but clearly where an individual consumer gets their gas bottle refilled that absence of connection will be most apparent.[169]

### 8.3.2 De-packaging

A trade mark owner may seek to oppose the resale of goods that have been removed from their packaging. The Court of Justice considered this question in the *eBay* case,[170] in which a number of sellers had been selling goods on the defendant's auction site without the original packaging. The Court indicated that the trade mark owner would have a legitimate reason to oppose further commercialization if the effect of removing the packaging were that essential information, such as information relating to the identity of the manufacturer or the person responsible for marketing the cosmetic product, was missing. Moreover, the
p. 1173 trade mark owner would be also able to oppose resale if it could establish ↵ that the removal of the packaging had damaged the image of the product and thus the reputation of the trade mark.

### 8.3.3 Repackaging

A closely related situation in which a trade mark owner may have a legitimate reason to control further dealings is where the goods are repackaged.[171] In *Bristol-Myers v. Paranova*,[172] Bristol-Myers marketed pharmaceutical products in various member states. It was the owner of certain trade marks for those pharmaceuticals in Denmark. Paranova purchased products sold by Bristol-Myers in member states such as Greece and the United Kingdom, in which the prices were relatively low, and then imported them into Denmark. The pharmaceuticals had originally been marketed as tablets in blister packs, flasks, phials, and ampoules. For the purposes of sale in Denmark, Paranova repackaged all of the pharmaceuticals in new external packaging. In so doing, Paranova gave the pharmaceuticals a uniform appearance—namely, white with coloured stripes corresponding to the colours of the manufacturers' original packaging. The new packaging displayed the respective trade marks of the manufacturer (namely, BRISTOL-MYERS). It also included statements that the products had been manufactured by Bristol-Myers, and were imported and repackaged by Paranova. Bristol-Myers claimed that the import infringed various trade marks that it had registered in Denmark. The matter was referred to the Court of Justice for consideration.

The Court of Justice began by noting that the rules of exhaustion provided that owners of a trade mark cannot rely on their rights in the mark to prevent the importing or marketing of a product that has been put on the market in another member state by them or with their consent. However, where those goods had been repackaged, the trade mark owner was entitled to prevent further commercialization, because the repackaging jeopardized the 'guarantee of origin'.[173]

Nevertheless, the Court in *Bristol Myers* acknowledged that this may create problems insofar as it enables owners to exercise their rights in a way that constitutes a disguised restriction upon the free movement of goods under Article 34 TFEU (the effect of which is retained for these purposes in the United Kingdom).[174] To ensure that this did not occur, the Court said that the owner could *not* prevent the parallel import of repackaged goods where the use of the trade mark right by the owner contributes to the artificial partitioning of the markets between member states. In so doing, the Court of Justice limited the scope of the trade mark owner's rights.

To ensure that this derogation from the owner's rights did not adversely affect the subject matter of the trade mark, the Court said that parallel importing of repackaged goods is permissible only where the parallel importer satisfies certain conditions. These are that:

(i) the repackaging does not adversely affect the original condition of the product;

(ii) the parallel importer complies with certain obligations as to labelling and provision of samples; and

(iii) the quality of the repackaging does not adversely impact on the reputation of the mark.[175]

p. 1174 ↵ After looking at the question of what is meant by 'artificial partitioning of the market', we will look at each of the three conditions imposed on the parallel importer.

**(i)** *Artificial partitioning of the markets between member states* Although the United Kingdom is no longer part of the EEA, the approach to assessing the legitimacy of repackaging remains relevant under the current 'UK+' model of exhaustion. Repackaging by a parallel importer is justified only where and insofar as it is necessary to avoid artificial partitioning of the market.[176] The test for whether there has been an 'artificial partitioning' of the market is decided by objective standards. This means that the importer does not need to show that the trade mark owner deliberately intended to partition the markets between member states. The Court of Justice said that partitioning is artificial if it prevents access to the market. In other words, the power of the trade mark cannot be used to prevent repackaging that is *necessary* for the importer to market the product in the member state of import.[177]

One situation in which repackaging would be justified is if the goods were marketed in different packaging in different member states and the goods could not be sold in the second member state unless they were repackaged.[178] For example, if a whisky were marketed as 'pure whisky' in one country, but regulations in another member state meant that the whisky could not be described as 'pure', it would be necessary to remove the word 'pure' from the packaging before the product could be imported into the latter state.[179]

Equally, a trade mark owner cannot oppose the repackaging of a product where the size of the original packet cannot be marketed in the importing member state.[180] This would occur, for example, where the size of the packaging was dictated by national regulations. In *Bristol-Myers*, the Court of Justice made it clear that a 'need' to repackage may exist even where a number of different types of packaging are used in the importing state.[181] This is so even if this includes the form of packaging in which the goods in question have been marketed. The reason for this is that 'partitioning of the markets would exist if the importer were able to sell the product in only part of his market'.[182] It is possible too that repackaging may be justified in response to consumer practices. In *Boehringer Ingelheim (No. 1)*,[183] the Court of Justice indicated that while consumer resistance would not always constitute an impediment to effective market access such as to render repackaging necessary, it might do so. More specifically, it stated that 'there may exist on a market, or on a substantial part of it, such strong resistance from a significant proportion of consumers to relabelled pharmaceutical products that there must be held to be a hindrance to effective market access'.[184]

The question of necessity is therefore a threshold question.[185] Thus the 'necessity' requirement 'is directed solely at the fact of repackaging not at the manner and style of repackaging'.[186] Details of the repackaging need be scrutinized only when assessing whether there has been compliance with the other conditions.

p. 1175 ↵ **(ii)** *Whether the original condition of the product is adversely affected* Even if it is necessary to repackage to gain access to a market, a trade mark owner may oppose this if it involves either a risk that the product inside the package might be tampered with or that the original condition of the goods will be adversely affected.[187] This is sometimes referred to as the doctrine of 'adverse effects'. In order to constitute a legitimate reason for a trade mark owner to oppose further commercialization of goods that have been repackaged, the risks of adverse effects must be *real*; the hypothetical risk of isolated error will not do. An example of this is provided by *Bristol-Myers*, in which it was argued that the repackaging of blister packs might affect the condition of the drugs.[188] It was suggested that combining blister packs with different use-by dates into single sets might lead to the sale of products that might have been stored for too long—but the Court of Justice did not consider this to be a real risk.

To determine whether the repackaging adversely affects the original condition of the product, both the nature of the product and the method of repackaging must be taken into account. Parallel importation is permissible where the repackaging affects only the external layer, leaving the inner packaging intact, or where the repackaging is carried out under the supervision of a public authority to ensure that the product remains intact. Similarly, the addition of accurate information by the repackager will not constitute a legitimate reason to oppose the further circulation of the goods.[189]

The Court of Justice has recognized that the original condition of the product inside the packaging might be indirectly affected where the repackaged product omits important information, or gives inaccurate information about the nature, composition, effect, use, or storage of the product.[190]

**(iii)** *The parallel importer must comply with certain obligations* Moreover, to protect the owner against misuse, an importer of repackaged pharmaceuticals must comply with certain requirements.[191] First, the packaging should indicate both who manufactured the product[192] and who repackaged it.[193] That indication must be clearly shown on the repackaged product[194] and must be printed in such a way as to be understood by a person with normal eyesight, exercising a normal degree of attentiveness.[195] It is not necessary that a statement be made that the repackaging was carried out without the authorization of the trade mark owner.[196]

Second, the trade mark owner must be given advance notice that the repackaged product is being put on
**p. 1176** sale.[197] The owner may also require that they be supplied with ↵ a specimen of the repackaged product before it goes on sale. This enables the owner to check that the repackaging does not affect the original condition of the product or damage the reputation of the trade mark. This also affords trade mark owners with a better opportunity to protect themselves against counterfeiting.[198] It is incumbent on the parallel importer itself to give notice, which must provide the proprietor with 'a reasonable time to react to the intended repackaging'.[199] In one case, the Court indicated that, were a sample to be provided along with the notice, a period of 15 working days would be a reasonable time.[200] Failure to comply with the notice requirements renders the commercialization of the goods an infringement.[201]

In an important clarification, the Court of Justice has confirmed that the *Bristol-Myers* requirements do not apply to every intervention which affects the original packaging to some degree. In *Junek*, the defendant was importing medical dressings from Austria to Germany.[202] While leaving the original packaging otherwise intact, the defendant merely added a small label, on an unprinted part of the outer packaging, containing its name as a parallel importer, its address, a bar code, and a pharmaceutical number. Notably, no advance notice was given. The Bundesgerichtshof's reference primarily concerned whether, as with pharmaceuticals, medical devices were also to be regarded as sensitive products, such that the *Bristol-Myers* requirements would apply, including the advance notice requirement. The Court distinguished past cases, which involved more intrusive repackaging (primarily, the opening of the original packaging to insert information leaflets) whereas this dispute related to a proportionately modest label providing relevant information on an unprinted part of the undisturbed packaging.[203] Despite previous authority confirming that relabelling could constitute repackaging,[204] the Court held that, in this instance, since 'the packaging of the medical device concerned has not been modified and the original presentation of the packaging has not been affected other than by the attachment of a small label, which does not conceal the mark and which designates the parallel importer as responsible for placing it on the market by setting out [relevant] details . . . it cannot be held that the attachment of such a label constitutes repackaging'.[205] This form of relabelling would not affect 'the specific purpose of the mark, which is to guarantee the origin of the product that it identifies'.[206] The High Court has subsequently derived a two-step approach, applicable in situations involving such minimal alteration: (i) for a similar fact pattern, where the packaging has not been opened and the new label does not obstruct any relevant information, (ii) the *Bristol-Myers* requirements do not apply *unless* the claimant can show that the labelling gives rise to a risk to the origin-indicating function of a trade mark.[207] Where the alteration takes this modest form, the onus of establishing infringement is once again upon the trade mark proprietor.

**(iv)** *Quality of packaging* The repackaging must not adversely affect the reputational interests of the trade mark proprietor. In *Bristol-Myers*,[208] the Court of Justice recognized 'the possibility that the reputation of the
p. 1177 trade mark and thus of its owner may nevertheless suffer from an inappropriate presentation of the repackaged product'. This is particularly the case if the repackaging is defective, untidy, or of poor quality. When assessing whether the presentation of the repackaged product is liable to damage the reputation of the trade mark, it is necessary to take account of the nature of the product and its market.[209] In the case of pharmaceutical products that are marketed directly to the public, packaging could be crucial in maintaining or inspiring public confidence in the quality and integrity of the product. In these cases, defective, poor-quality, or untidy packaging could damage the trade mark's reputation.[210] However, where a pharmaceutical is sold to hospitals, the presentation of the product will be of little importance.[211] In the intermediate situation, in which the product is sold on prescription through pharmacies, presentation may be important to consumers even though some degree of confidence in the quality of the product would flow from the fact that the products were sold only on prescription.[212] The reputation of the trade mark holder might be damaged through 'de-branding' (where, in repackaging, the parallel importer removes many of the manufacturer's trade marks) and 'co-branding' (where the parallel importer adds its own brand).[213]

Interestingly, the High Court has applied the *Bristol-Myers* criteria for assessing the legality of repackaging outside the pharmaceutical resale context. Section 3(2) was engaged where the defendant resold the claimant's charm bracelet links in inferior quality blister packs, after removing the original packaging and without adequately identifying who had done the repackaging.[214] This was liable to damage the reputation of the trade mark and a relevant basis for opposing resale.

### 8.3.4 Rebranding

Another situation in which the trade mark owner may have a legitimate reason to restrict further dealings of goods bearing their trade mark arises where the parallel importer alters the mark. In *Pharmacia & Upjohn v. Paranova*,[215] Upjohn marketed an antibiotic called clindamycin under the trade mark DALACIN in Denmark, Germany, and Spain, and under the mark DALACINE in France. Paranova bought DALACINE capsules in France, with the intention of reselling the antibiotic in Denmark. When Upjohn sought to prevent this, the question arose as to whether it was legitimate for Paranova to replace the DALACINE mark with DALACIN. The Court of Justice said that there is no difference between this situation and that of repackaging.[216] Applying the *Bristol-Myers* conditions, to justify affixing the DALACIN mark, the parallel importer needed to show that it was objectively necessary for it to do so to access the market. In so stating, the Court made it clear that the suggestion that had been made in *American Home Products*[217] that, to justify reaffixing the mark, the parallel importer had to prove that the owner had a subjective intention to divide up the market, was not correct. The Court of Justice indicated that the 'condition of necessity' would be satisfied if, for example, consumer protection legislation were to prohibit use of the mark DALACINE, or if use of the mark were not allowed because it was misleading.[218] The Court added that the requisite 'conditions of necessity' did not exist, however, if the replacement of the trade mark was 'explicable solely by the parallel importer's attempt to secure a commercial advantage'.[219]

p. 1178 ↵ In *Speciality European Pharma Ltd v. Doncaster Pharmaceuticals Group*,[220] the Court of Appeals reversed the lower court's finding that such necessity was not proven in a case in which the claimant, who was licensed by Medeus to use the mark REGURIN in the United Kingdom, had only 8 per cent of the UK market for tropsium chloride (used in the treatment of incontinence), and 60 per cent of the market was supplied by generics (the drug having come off patent). Asplin J had held that permitting the parallel importer to rebrand products sold by licensees of Medeus in France as CÉRIS and in Germany as URIVESC with the REGURIN mark would merely give it a 'commercial advantage' (allowing it to be sold at a higher price than other generics). There was no need to rebrand to access the market in general and it was inappropriate to define the market to tropsium chloride sold as REGULIN.[221] By contrast, the Court of Appeal preferred the evidence establishing that, despite generic competition, there remained a proportion of the prescription market which was resistant to it and demanded REGURIN. Consequently, rebranding went no further than was necessary to overcome artificial barriers to effective market access.

In the rebranding context, the Court of Appeal has also clarified that for the *Bristol-Myers* analysis to apply in order to excuse the defendant, they must establish that the product they seek to import was placed on the relevant market by or under the control of the same entity that is now trying to prevent its import. Stated another way, the goods in question must have been put on the relevant market by the same entity that seeks to restrain the rebranding.[222]

### 8.3.5 Advertising the goods

In *Christian Dior v. Evora*,[223] the Court of Justice indicated that while commercial resellers had a legitimate interest in using a trade mark proprietor's mark to advertise those goods, there might be situations in which the proprietor could prevent such advertising. The reference to the Court arose out of a complaint by perfume

maker, Dior, that Evora infringed its trade marks by advertising that it was selling Dior perfume in Evora's chemist shops in the Netherlands. The Court of Justice held that the damage done to the reputation of a trade mark might, in principle, be a legitimate reason for opposing the advertising of goods that have been put on the relevant market,[224] but that 'a balance must be struck' between the legitimate interest of the trade mark owner and that of the reseller.[225] In the case of prestigious luxury goods, resellers must endeavour to prevent their advertising from affecting the value of the trade mark by detracting from the allure and prestigious image of the goods in question, and from their aura of luxury.[226] However, if the reseller is merely employing techniques that are customarily used for goods of the kind, but not necessarily of the same quality in issue, then an objection to such advertising is legitimate only if it '*seriously damages* the reputation of the trade
p. 1179 mark'.[227] The Court suggested that ↵ this would occur if, in advertising goods bearing the mark, the trade mark were placed in a context that seriously detracted from the image that the trade mark owner had succeeded in creating around their trade mark.[228]

Is use of 'keywords' of the trade mark holder justified in the case of resellers of the trade marked goods? The issue was broached by the Court of Justice in *Portakabin v. Primakabin*,[229] in which the defendant used the PORTAKABIN mark (and other variants thereof) to generate sponsored links that fed through to its website, which sold, among other things, second-hand structures made by the claimant. The Court noted that, for liability to exist in the first place, the ads (being the few lines generated under the 'sponsored links' heading when the consumer entered the claimant's trade mark in the search engine) must leave the relationship between the trade mark owner and the advertiser unclear, and this itself meant that there was a legitimate reason for the trade mark proprietor to object to the commercial practice.[230] Nevertheless, the Court sought to elaborate three further points. First, because of the widespread sale of second-hand goods, consumers would not assume there to be any commercial link between a trade mark owner and a seller of second-hand goods.[231] Second, there would be legitimate reasons to oppose the use of the keyword if the goods sold by the defendant, although originating with the trade mark proprietor, had subsequently been subjected to processes of 'de-branding' (removal of the PORTAKABIN mark) and rebranding (with the PRIMACABIN mark).[232] Third, the Court indicated that it was not determinative that the defendant sold second-hand goods that originated with traders other than the claimant. The Court accepted that it might be tolerable to allow use of the claimant's trade mark as a keyword, as long as volume, presentation, and quality of the other goods did not create a risk of 'seriously damaging the image which the proprietor has succeeded in creating for its mark'.[233]

## 8.4 Parallel Import of Trade Marked Goods and Copyright in Labels

While a parallel importer may be entitled to relabel goods for resale, the question may arise as to whether the proprietor can prevent import by relying on any copyright that they have in the label. Since the parallel importer would presumably reproduce and issue copies of such labels, there is on its face infringement of copyright. Nevertheless, a different approach has been taken in relation to labels. This can be seen in *Christian Dior v. Evora*,[234] in which Christian Dior sought to rely on its copyright in the picture marks to prevent Evora from reproducing the marks on advertising leaflets. The Court of Justice held that, in these circumstances, 'the protection conferred by copyright as regards the reproduction of protected works in a reseller's advertising may not . . . be broader than that which is conferred on a trade mark owner in the same circumstances'.[235] The Court added that the holder of copyright may not oppose the use of a trade mark by a

p. 1180 reseller ↵ who habitually markets articles of the same kind, but not necessarily of the same quality, as the protected goods unless it is established that the use of those goods seriously damages the reputation of those goods.[236] As intellectual property rights stack or overlap around a single commercial artefact, this raises for debate whether we need to consider cross-cutting or horizontal defences, which operate across all the rights.[237]

## 8.5 International Exhaustion

The scope of section 12 of the 1994 Act is confined to products placed on the relevant market, that is, the United Kingdom or the EEA (UK/EEA).[238] It does not matter that the product bearing the mark has been manufactured in a non-UK/EEA country, provided that it has been lawfully put on the market within the United Kingdom/EEA by the owner of the mark or with their consent.[239] Section 12 gives no explicit guidance as to what happens if the product is imported from outside the United Kingdom/EEA *and* has not yet been placed on these markets with the consent of the trade mark owner. It is to this issue that we now turn, especially since the possibility of international exhaustion is being reconsidered by policymakers in the United Kingdom.[240]

### 8.5.1 Background

Prior to the passage of the TMD 1988, the question of international exhaustion was a matter for individual member states.[241] The Commission's original proposal would have imposed international exhaustion—that is, trade mark owners would not have been permitted to oppose the resale of products that had been put on the market with their consent anywhere in the world.[242] The Commission subsequently changed its view and its amended proposal explicitly limited the exhaustion principle to goods that had been put on the market 'in the Community'.[243] This left unclear the position in relation to goods placed on the market outside the European Union.

### 8.5.2 Silhouette

This issue was addressed in *Silhouette International v. Hartlauer*,[244] in which the Court of Justice was called
p. 1181 upon to decide whether the principle of international exhaustion ↵ applied under the Directive.[245] Silhouette manufactured high-quality fashion spectacles, which it distributed worldwide under the trade mark SILHOUETTE. The claimant was the registered proprietor for the mark in Austria and many other countries. Silhouette sold an out-of-date range of frames to a firm in Bulgaria, which was not an EU member at that time. The defendant, Hartlauer, acquired the out-of-date frames from the Bulgarian firm and then imported them into Austria for resale. Silhouette sought an order prohibiting Hartlauer from marketing the spectacles in Austria under its trade mark. It did this on the basis that the frames had not been put on the market in the EEA by it or with its consent. As such, Silhouette had not exhausted its trade mark rights. Silhouette argued that the Directive provides that such rights can be exhausted only by reason of marketing within the EEA.

The Supreme Court of Austria sought a ruling from the Court of Justice as to whether EU law requires member states to provide for exhaustion only when the goods have been marketed in the EEA, or whether member states may (or perhaps must) provide for exhaustion when the goods have been marketed in a third country. The Court rejected the argument that the Directive left the member states free to provide for exhaustion in their national law. In light of Recitals 1 and 9, the Court said that Articles 5–7 of the TMD 1988 must be construed as 'embodying a complete harmonization of the rules relating to the rights conferred by a trade mark'.[246] A single rule was also necessary to safeguard the functioning of the internal market. Given the terms of Article 7, the only plausible harmonized rule was that member states are obliged to confer on trade mark owners the ability to prevent imports of trade marked goods from outside the EEA (even where the same trade mark owner has consented to that marketing). This recapitulation emphasizes that the desire for a harmonized European framework was the principal rationale for rejecting the possibility that individual member states could opt for international exhaustion. The United Kingdom is once again considering international exhaustion after leaving the EU.

### 8.5.3 Consent

Although *Silhouette* made clear that member states were not to apply rules of international exhaustion, it took another Court of Justice decision to clarify the next logical question: what amounts to consent to import goods into the EEA? In *Zino Davidoff*,[247] Laddie J asserted that even though, in principle, the trade mark owner has the right to stop importation into the EEA of goods not previously marketed in the EEA by them or with their consent, this right cannot be used where the trade mark owner had consented to such import—and, remarkably, he held that, at least under English law, consent existed where the proprietor 'has agreed, expressly or otherwise to such entry, or he has, directly or otherwise, placed the goods in the hands of a third party under conditions which give the third party a right to distribute and onward sell them without restriction'.[248] In effect, in the absence of full and explicit restrictions being imposed on the purchasers at the
p. 1182 time of purchase, according to Laddie J a trade mark owner is treated as impliedly consenting ↵ to further distribution of those goods (including their import into the EEA). On the facts of the case, placing goods on the market in Singapore was sufficient consent to their import into the EEA.

The Court of Justice, following the logic of *Silhouette*, rejected Laddie J's approach.[249] First, it held that it was implicit from the Directive that there must be a harmonized concept of consent in this context.[250] Second, the Court held that consent need not be express, but could be implied. Nevertheless, that consent must indicate an intention to renounce one's right to object to the import of the item into the EEA unequivocally.[251] Consequently, while in some cases consent could be inferred from facts and circumstances prior to, simultaneous with, or subsequent to the placing of goods on the market outside the EEA, consent could not be implied from the failure to express positively that goods were not to be imported into the EEA, or from silence.

In effect, it will be very difficult for a parallel importer to persuade a court that consent exists in the absence of evidence of express agreement. One example might be a situation in which the trade mark owner has known about and facilitated, but not objected to, a practice of importing trade marked goods into the United Kingdom/EEA.[252]

### 8.5.4 Proving consent

The *Davidoff* decision seemed to imply that a trader operating within the United Kingdom/EEA who is faced with an allegation that the goods have been imported from outside the United Kingdom/EEA must be able to show that a trade mark proprietor has consented to the circulation of goods in the United Kingdom/EEA. In *van Doren + Q GmbH v. lifestyle + sportswear*,[253] the Court of Justice indicated that the issue of the onus of proof was one for member states, but that the national rule should not itself inhibit the free movement of goods within the EEA. Here, Stüssy Inc., a company based in California, owned the mark STÜSSY for clothes and Van Doren was the exclusive distributor of the STÜSSY clothes for Germany. Lifestyle was selling STÜSSY clothes in Germany and Van Doren claimed that there was trade mark infringement. Van Doren alleged that the goods came from the United States, whereas Lifestyle alleged that it had sourced them in the EEA (so that the trade mark rights were exhausted), but refused to name its suppliers. Under German law, it was for the defendant to prove exhaustion, although the appeal court had sought to place some onus on the claimant. The Court of Justice was asked whether Article 34 TFEU, favouring the free movement of goods, required there to be an exception to the rule that the full burden of proof fall on the defendant.

First, the Court held that the German rule of evidence is consistent with Community law, including Articles 5 and 7 of the TMD 1988 (i.e. the relevant infringement and exhaustion provisions). However, the Court qualified this by stating that such a rule of evidence might need to be qualified where its application might lead to a 'real risk of partitioning of national markets'.[254] In such circumstances, Article 34 TFEU requires the
p. 1183 ↵ rule of evidence to be qualified and, instead, a national court should divide up the different matters to be proved. More specifically, the onus would fall on the proprietor of the mark to prove that the goods were first marketed outside the EEA; it would then be for the parallel importer to prove consent to subsequent import of the products.

The Court gave an example of a situation in which there could be such a risk of partitioning so as to qualify the general approach—that is, where European marketing is by way of an exclusive distribution system. In such cases, the effect of requiring the parallel importer to prove consent is tantamount to requiring it to reveal its sources (and hence to expose the breaches in the trade mark owner's exclusive distribution system). Such exposure would enable the trade mark proprietor to remove its leaky distributor from the supply chain and thus prevent the parallel importer from continuing to obtain supplies in this way. In such cases, therefore, the Court requires the trade mark proprietor to prove that the goods were marketed outside the EEA. It might do so by referring to batch numbers, or other characteristics that demonstrate that first marketing was outside the EEA.

In *Oracle America Ltd v. M-Tech Data*,[255] the claimant was a manufacturer of computer hardware that it had placed on the market bearing its trade marks in China, Chile, and the United States. The defendant imported them into the United Kingdom and supplied a third party (who was, in fact, acting on behalf of the claimant). When the claimant sought summary judgment in an action for infringement of its trade mark, the defendant argued that the claimant's trade mark rights were not enforceable because the object and enforcement was to partition the EEA market in Oracle hardware contrary to Articles 34–36 TFEU. The argument was made that the defendant could not know whether these were goods that Oracle had permitted to be marketed in the EEA. This was said to be the case because the market in disks (and computer hardware) was a global market, and Oracle could easily provide the information by making available a list of the serial numbers of disks that had been marketed in the EEA. M-Tech argued that Oracle refused to do so precisely so that it could prevent unauthorized trade in its legitimate products in Europe.[256] Unfortunately, M-Tech was unable to show that the particular sales in issue in the case had been affected by Oracle's alleged wrongful behaviour,[257] and so sought to claim that its general practice rendered its trade marks unenforceable on the basis that Article 5 of the TMD 'is subject to an implied limitation to be derived as a matter of construction from Articles 34 to 36 of the EU Treaty'.[258] At first instance, Kitchin J rejected the defence, but on appeal the Court of Appeal found that the defence was not unarguable, so that the case should have been permitted to go to trial. On appeal to the Supreme Court, the judgment at first instance was reinstated. Lord Sumption, with whom the Court unanimously agreed, found that, once the distinction was understood between the rules relating to goods placed on the market in the EEA and goods that had not been so placed, it was apparent that there was no arguable defence. The conduct to which the defendant objected was 'collateral to the particular right which [the claimant was] seeking to enforce'[259]—namely, the absolute right to oppose first marketing in the EEA. The defence could not succeed and no reference to the Court of Justice was required.

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## 9 Freedom of Expression

The preceding analysis alludes to the interface between trade marks and competition law. A final relationship to consider is that between expressive values or recognized speech interests and trade mark law. Digital technology and social media have made this an increasingly relevant interface. A painting, parody, song, or satirical blog post may use a mark to critique an undertaking's environmental record or the treatment of its workers. Since trade marks function as convenient registers of social meaning, critics may also use leading brands to critique an entire sector, such as fossil fuels, the luxury goods industry, or big tobacco. There are two techniques for responding to such conflicts within trade mark law.[260] The first is to apply existing rules with a sensitivity to the freedom of expression values at stake in a given dispute. The critic's use may be non-commercial, while a defence such as referential use or due cause may also be available. The second is to craft a specific legislative defence which responds to speech interests.[261] While each has its advantages and drawbacks, EU law exhibits a preference for the former approach. The Court of Justice has confirmed that EU trade mark law must be systematically applied 'in such a way as to ensure full respect for fundamental rights and freedoms, in particular freedom of expression'.[262]

In the past, trade mark rights would rarely create significant limitations on free speech. For example, use of a trade mark to criticize a company or its products will not normally amount to an infringement of trade mark rights. This is because such speech will rarely be regarded as an act occurring in the 'course of trade',[263] nor in relation to the user's goods or services.[264] A *Which?*-style review of the merits of consumer goods or services may utilize trade marks, but will not do so 'in relation to' the publisher's goods (only to refer to the trade mark owner's goods). It is less clear whether there could be infringement by use of a sign as the subject matter of a painting (as with Warhol's famous depictions of CAMPBELL'S soup cans) or even as the title of a pop song (as with The Undertones' song 'Mars Bars' or Scandinavian dance act Aqua's use of the mark BARBIE in its song 'Barbie Girl').[265] On the assumption that these acts occur in the course of trade,[266] there would

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↵ be a serious issue as to whether the use was in relation to (i.e. as a distinguishing sign for) the painting or song (which is marginally more plausible in relation to the song titles). In that case, liability would probably depend on whether these uses took unfair advantage of, or were detrimental to, the repute of the

CAMPBELL'S mark, and if so, whether they were 'without due cause'.[267] We have argued (in Chapter 38) that 'due cause' might leave room to accommodate freedom of speech. As we have noted earlier, there is now an explicit steer that EU trade mark legislation—including infringement and defences provisions—'should be applied in a way that ensures full respect for fundamental rights and freedoms, and in particular the freedom of expression'.[268] The expanded 'referential use' defence is an additional resource for accommodating expressive interests, where a nominative use is made for valid reasons such as socially valuable commentary, to be evaluated in turn under the honest practices proviso.

While, for the most part, trade mark law should not compromise freedom of speech, the potential application of trade mark law to online uses, including by the professional blogger or social media post made by an influencer, has renewed interest in this area. Sometimes a person may trade in goods that have expressive qualities that could infringe trade marks: an obvious example is a T-shirt that parodies trade marked goods, for example mimicking the blue oval FORD logo, but replacing the word 'Ford' with the word 'Fraud'.[269] Another example, drawn from US case law, would be the sale of dog toys as CHEWY VUITTON, which could be understood as a parody of LOUIS VUITTON.[270] In these cases, trade mark law may come into conflict with freedom of expression (especially if Louis Vuitton has acquired trade mark rights in relation to 'textile goods' in Class 24 or 'playthings' in Class 28).[271] Some argue that in these circumstances, the property interests and expressive interests of the trade mark owner should also be recognized as countervailing fundamental rights.[272] Others reason that since trade mark infringement tests recognize increasingly speculative forms of presumed harm to a wider range of functions, the defences will have more heavy lifting to do. However, the criteria for satisfying the defences—and the honest practices proviso in particular—were developed with commercial defendants in mind. A new approach is called for and bespoke criteria will need to be developed, to meaningfully accommodate expressive uses.[273]

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## 10 Honest Concurrent Use

In certain exceptional cases, the argument that a defendant was making honest concurrent use of the same or a similar sign may be successful.[274] Although generally recognized as a defence, this doctrine has alternatively been characterized as a relevant factor under the global assessment of the likelihood of confusion, as part of infringement analysis.[275] It was recognized as compatible with European trade mark law in the long-running *Budweiser* dispute,[276] between the producers of (American) BUDWEISER and (Czech) BUDWEISER BUDVAR.[277] On a reference from the United Kingdom, the Court of Justice reiterated that a trade mark will be infringed only where the defendant's use is liable to harm its functions. The unusual factual circumstances of the underlying dispute—long-standing coexistence on the market, authorization for both parties to register their marks concurrently, use in good faith by both parties, and consumer awareness of the differences between the beers—indicated that there would be no adverse effect on the origin-indicating function of the claimant's mark, which is to guarantee the origin of its products.[278] This reasoning occurs within the context of infringement analysis, where long-standing coexistence in suitable circumstances leads to a finding of no relevant harm since there is no consumer confusion. However, the Court of Appeal subsequently clarified that the Court of Justice had 'not ruled that honest concurrent use cannot avail a trader if the impugned use is liable to cause some confusion'.[279] *Victoria Plum* confirms that where two traders use similar names in appropriate circumstances, 'the inevitable confusion that arises may have to be tolerated'.[280] Courts have therefore recognized that the doctrine operates even where there is confusion and not just in its absence. Another reason for considering honest concurrent use as a defence is that the defendant retains the burden of proof.[281] It is also implied that this is a significant burden, since the defence will only be applicable in 'exceptional' or 'rare' cases.[282]

A summary of the applicable principles is found in *Victoria Plum*, involving the use of very similar marks by two bathroom retailers:

(i) Where two separate commercial entities have coexisted for a sufficiently long period and done so honestly, some degree of confusion may have to be tolerated.

(ii) A key condition is that the same or similar signs designate either of those entities to the relevant public and not just one of them; in these circumstances, the origin guarantee function of the claimant's mark is not harmed (to any significant degree) since it does not solely denote the claimant in the first place.

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(iii) However, the defendant must not exacerbate any extant and presumably modest confusion.[283]

In terms of assessing honesty, courts have tended to draw from the list of factors considered relevant under the honest practices proviso to the defences in section 11(2).[284] Mr Justice Henry Carr identified five factors:[285]

(i) the defendant has a duty to act fairly in relation to the legitimate interest of the trade mark owner (but presumably not to the extent of effacing their own interests in the sign);

(ii) a global assessment should be adopted, which considers all the circumstances, including whether the defendant is unfairly competing with the claimant;

(iii) however the mere existence of consumer 'deception' or confusion (a preferable term) does not disable dishonesty, even where the defendant has been aware of it for some time;

(iv) the more significant question is whether the defendant has taken steps to exacerbate the confusion, beyond the existing 'inevitable' level and thereby encroached upon the claimant's goodwill;

(v) where this occurs, the defendant's (subjective) awareness that these steps will exacerbate confusion is a relevant factor. Three other factors have been subsequently added:[286]

(vi) whether the defendant knew of the existence of the claimant's mark and if not, whether it would have been reasonable to conduct a search.[287] However this seems to cut against the third factor identified by Henry Carr J above, where the defendant's knowledge of confusion, due to the existence of a similar or identical mark, should not point towards dishonesty.

(vii) Whether the defendant used the sign complained of in reliance of competent legal advice based on proper instructions.

(viii) Whether the defendant knew or should have known that the trade mark owner objected to the use of the sign. The concern is that these three factors are drawn from a body of cases which prioritizes the trade mark owner's interests over those of the defendant. However, during a sufficiently long period of concurrent use, the defendant has built up legitimate interests in their own use of the mark, which these factors seemingly discount. Finally, it has been noted that the extent to which a use is honest may change over time.[288]

## Notes

[1] G. Dinwoodie, 'Developing Defenses in Trademark Law' (2009) 13 *LCLR* 99, 152; see also W. McGeveran, 'Rethinking Trademark Fair Use' (2008) 94 *Iowa L Rev* 49; M. Grynberg, 'Things Are Worse than We Think: Trademark Defenses in a "Formalist" Age' (2009) 24 *BTLJ* 897; W. McGeveran, 'The Trademark Fair Use Reform Act' (2010) 90 *Boston U L Rev* 2267; R. G. Bone, 'Notice Failure and Defenses in Trademark Law' (2016) 96 *Boston U LR* 1245 (proposing defences as a method of offsetting the chilling effects generated by having fuzzily defined exclusive rights).

[2] Prior to its amendment in 2018, s. 11(1) operated as a 'home grown' provision that was not derived from EU law. It stated: 'A registered trade mark is not infringed by the use of another registered trade mark in relation to goods or services for which the latter is registered.' The current version is aligned with the TMD 2015, Art. 18; EUTMR 2017, Art. 16.

[3] The Court of Justice had previously indicated that such a defence was incompatible with EU trade mark law, since the scope of infringement rights extended to proscribe even later registered marks, without the need to first invalidate them: *Fédération Cynologique Internationale v. Federación Canina Internacional de Perros de Pura Raza*, Case C-561/11, EU:C:2013:91 (in the EUTM context). However subsequent legislative amendments acknowledged a comparable registered (junior) mark defence at the EU level: TMD 2015, Art. 18; EUTMR 2017, Art. 15.

[4] Where the invalidation is under appeal, the High Court has held that the defence will not apply: *Combe International v. Dr August Wolff* [2021] *EWHC* 3347 (Ch), [2022] *FSR* (13) 370, [265]–[270].

[5] *ABP Technology v. Voyetra Turtle Beach* [2021] *EWHC* 3096 (Ch), [83].

[6] See Chapter 33, section 2.1, pp. 894–5.

[7] The debate over the appropriate test for distinctiveness, explained in Chapter 37, has been informed by different views as to the scope and usefulness of the defences: see *Nichols plc's Trade Mark* [2003] *RPC* (16) 301, 305–6; cf. esp. *Procter & Gamble v. OHIM (Baby Dry)*, Case C-383/99P [2001] *ECR* I–6251; *Wrigley v. OHIM (Doublemint)*, Case C-191/01P [2003] *ECR* I–12447 (AG Jacobs).

[8] *McCartney*, R 1802/2011–2.

[9] *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989 (Grand Chamber), [75]–[84]; *Céline Sàrl v. Céline*, Case C-17/06 [2007] *ECR* I–7041, [31]–[36]. For the United Kingdom, see *Stichting BDO v. BDO Unibank* [2013] *EWHC* 418 (Ch), [2013] *FSR* (35) 894; *Roger Maier v. ASOS* [2015] *EWCA Civ* 220, [2015] *FSR* (20) 509 (note the dissent by Sales LJ); *Argos v. Argos Systems* [2017] *EWHC* 231 (Ch), [2017] *FSR* (26) 539.

[10] Justification for this was offered in Max Planck Institute, *Study on the Overall Functioning of the Community Trade Mark System* (2011), [2.254]–[2.254] (referring to the 'priority principle' which should consistently mediate conflicts between all distinguishing signs).

[11] *Argos v. Argos Systems* [2017] *EWHC* 231 (Ch), [2017] *FSR* (26) 539, [312].

[12] *Sky v. SkyKick* [2018] *EWHC* 155 (Ch), [2018] *RPC* (5) 227, [336]–[355].

[13] *Scandecor Developments AB v. Scandecor Marketing Ltd* [1998] *FSR* 500, 521–2; *Daimler Chrysler AG v. Alavi* [2001] *RPC* (42) 813, [100].

[14] *Premier Luggage & Bags v. Premier Company (UK)* [2002] *EWCA Civ* 387, [2003] *FSR* (5) 69, 88–9, [44].

[15] *Asprey & Garrard v. WRA (Guns)* [2001] *EWCA Civ* 1499, [2002] *FSR* (31) 487, [15].

[16] *Hotel Cipriani v. Cipriani (Grosvenor Street)* [2010] *EWCA Civ* 110, [2010] *RPC* (16) 485.

[17] Ibid., [73].

[18] *NAD v. NAD* [1997] *FSR* 380.

[19] [2010] *EWCA Civ* 110, [2010] *RPC* (16) 485, [66].

[20] Paris, Art. 10*bis*(2). Note also *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989 (Grand Chamber) (referring to TRIPS, Art. 17, requiring regard to be had to the legitimate interests of the proprietor).

[21] *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [61]; *Céline Sàrl v. Céline SA*, Case C-17/06 [2007] *ECR* I–7041, [32]; *Gerolsteiner Brunnen v. Putsch*, Case C-100/02 [2004] *ECR* I–691, [24]; *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989 (Grand Chamber), [82]; *Gillette v. L.A–Laboratories*, Case C-228/03 [2005] *ECR* I–2337, [41]; *Portakabin v. Primakabin*, Case C-558/08 [2010] *ECR* I–6963, [67].

[22] E.g. the Court of Justice in an 'own name' case *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989, [82]–[84] cites the earlier 'descriptive fair use' case of *Gerolsteiner Brunnen v. Putsch*, Case C-100/02 [2004] *ECR* I–691. See also *Samuel Smith Old Brewery v. Lee* [2011] *EWHC* 1879 (Ch), [2012] *FSR* (7) 263, [113].

[23] *Gillette v. L.A–Laboratories*, Case C-228/03 [2005] *ECR* I–2337, [46] ('an overall assessment of all the relevant circumstances'); *Ornua Co-operative v. Tindale & Stanton*, Case C-93/16, EU:C:2017:571, [44] ('a global assessment of all the relevant circumstances').

[24] *Céline Sàrl v. Céline SA*, Case C-17/06 [2007] *ECR* I–7041, [AG53]–[AG57]; *Hotel Cipriani v. Cipriani (Grosvenor St)* [2008] *EWHC* 3032 (Ch), [2009] *RPC* (9) 209, [151].

[25] *Céline Sàrl v. Céline SA*, Case C-17/06 [2007] *ECR* I–7041, [34]; *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989, [83]; *Portakabin v. Primakabin*, Case C-558/08 [2010] *ECR* I–6963, [67], [70].

[26] *Gillette v. L.A–Laboratories*, Case C-228/03 [2005] *ECR* I–2337, [46]. The question of how the user of the sign responded to changing appreciation of the effects of use of the mark was emphasized in *Samuel Smith Old Brewery v. Lee* [2011] *EWHC* 1879 (Ch), [2012] *FSR* (7) 263, and *Maier v. Asos* [2013] *EWHC* 2831 (Ch), [2014] *FSR* (16) 284, [157].

[27] *Reed Executive v. Reed Business Information* [2004] *EWCA Civ* 159, [2004] *RPC* (40) 767, [121], [124], [125].

[28] There are now many examples applying the standard. In the context of the 'own name' defence, see *Hotel Cipriani v. Cipriani (Grosvenor St)* [2008] *EWHC* 3032 (Ch), [2009] *RPC* (9) 209, [153]–[164], on appeal at [2010] *EWCA Civ* 110, [2010] *RPC* (16) 485, esp. [58]–[86]; *Och Ziff v. Och Capital* [2010] *EWHC* 2599 (Ch), [2011] *FSR* (11) 289, [141]–[151]; *Stichting BDO v. BDO Unibank Inc*. [2013] *EWHC* 418 (Ch), [2013] *FSR* (35) 894; *Frost Products v. FC Frost* [2013] *EWPCC* 34, [2014] *ETMR* (44) 955, [138]–[139] (Vos J); *Maier v. Asos* [2015] *EWCA Civ* 220, [2015] *FSR* (20) 509, [145]–[160] (Kitchin LJ) (with a dissent from Sales LJ, who was critical of the defendant's failure to conduct a comprehensive clearance search before adopting a name); *Sky v. SkyKick* [2018] *EWHC* 155 (Ch), [2018] *RPC* (5) 227, [327]–[335] (Arnold J).

[29] *Gillette v. L.A–Laboratories*, Case C-228/03 [2005] *ECR* I–2337, [42]–[45], [49]; *BMW v. Round and Metal* [2012] *EWHC* 2099 (Pat), [2013] *FSR* (18) 343,[113].

[30] *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [51]; *Gillette v. L.A–Laboratories*, Case C-228/03 [2005] *ECR* I–2337, [42]; *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989, [83].

[31] *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [52]; *Gillette v. L.A–Laboratories*, Case C-228/03 [2005] *ECR* I–2337, [43].

[32] Ibid., [44].

[33] Ibid., [45].

[34] *Céline Sàrl v. Céline*, Case C-17/06 [2007] *ECR* I–7041, [34]; *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989, [83].

[35] *Hotel Cipriani v. Cipriani (Grosvenor St)* [2008] *EWHC* 3032 (Ch), [2009] *RPC* (9) 209, [145]; *Samuel Smith Old Brewery v. Lee* [2011] *EWHC* 1879 (Ch), [2012] *FSR* (7) 263, esp. [116], [118]; *Maier v. Asos* [2013] *EWHC* 2831 (Ch), [2014] *FSR* (16) 284, [148]. The justification for so doing seems to be that it is only if these are 'factors' that the conclusion in *Gerolsteiner Brunnen*, Case C-100/02 [2004] *ECR* I–691, [25], that some confusion does not preclude a finding of honest practices, can be reconciled with the statement in *Gillette*.

[36] *Anheuser-Busch v. Budvar*, Case C-245/02 [2004] *ECR* I–10989, [83].

[37] *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [52], [63], [64].

[38] Ibid., [55].

[39] Case C-100/02 [2004] *ECR* I–691. See also *Roger Maier v. ASOS* [2015] *EWCA Civ* 220, [2015] *FSR* (20) 509, [149] ('The possibility of a limited degree of confusion does not preclude the application of the defence, however. It all depends upon the reason for that confusion and all the other circumstances of the case').

[40] *Fine & Country v. Okotoks* [2013] *EWCA Civ* 672, [2014] *FSR* (11) 190, [123].

[41] *Sky v. Skykick* [2018] *EWHC* 155 (Ch), [2018] *RPC* (5) 227, [330]–[331].

[42] *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [53]. See *Mercedes Star* (5 July 2001) (Düsseldorf Court of Appeal) (2003) 34 *IIC* 438.

[43] Case C-558/08 [2010] *ECR* I–6963, [68]–[72].

[44] Ibid., [71]. See also *Maier v. Asos* [2013] *EWHC* 2831 (Ch), [2014] *FSR* (16) 284, [165]; *Argos v. Argos Systems* [2017] *EWHC* 231 (Ch), [2017] *FSR* (26) 539, [283], [326]–[327] (any unremunerated advantage is not unfair).

[45] *Céline Sàrl v. Céline SA*, Case C-17/06 [2007] *ECR* I–7041, [AG47]. Cf. Max Planck Institute, *Study on the Overall Functioning of the Community Trade Mark System* (2010), [2.250] (uses of reputation marks that would benefit from one of the exceptions are made 'with due cause').

[46] P.-J. Yap, 'Honestly, Neither Celine nor Gillette is Defensible' [2008] *EIPR* 286. For the argument that interpretative approaches to defences have been undesirably restrictive, see I. Fhima, 'The Trade Mark Defences Meet Copyright: Fair use or Three Step Test?' (2014) 4 *QMJIP* 297; M. Senftleben et al., 'The Recommendation on Measures to Safeguard Freedom of Expression and Undistorted Competition: Guiding Principles for the Further Development of EU Trade Mark Law' [2015] *EIPR* 337.

[47] Defences preserving the room for expressive speech, fair competition, and the provision of information to consumers ‘serve as a counterbalance to the broad scope of today’s trade mark law, which has expanded dramatically over the last century, particularly in the last few decades with the addition of dilution claims’: J. Rothman, ‘Valuing the Freedom of Speech and the Freedom to Compete in Defenses to Trademark and Related Claims in the United States’ in Calboli and Ginsburg, 539, 540.

[48] *Interflora v. Marks & Spencer*, Case C-323/09 [2011] *ECR* I–8625.

[49] *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905. But cf. *L’Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [77] (unfair advantage has the same meaning in TMD 1989, Art. 5(2), and MCAD, Art. 4(f)); *O2 Holdings v. Hutchison 3G*, Case C-533/06 [2008] *ECR* I–4231, [49] (confusion has the same meaning in both legal instruments).

[50] *Fine and Country v. Okotoks* [2012] *EWHC* 2230 (Ch), [270].

[51] A proposal to codify these two conditions in a non-exhaustive definition of ‘honest practices’ was ultimately not adopted as part of the European legislative reform initiative: Max Planck Institute, *Study on the Overall Functioning of the Community Trade Mark System* (2011), [2.265].

[52] TMD 2015, Recital 27.

[53] *Leidseplein Beheer v. Red Bull*, Case C-65/12, EU:C:2014:49. See further Chapter 38, section 2.5, pp. 1087–9.

[54] L. Anemaet, ‘Which Honesty Test for Trademark Law? Why Traders’ Efforts to Avoid Trademark Harm Should Matter When Assessing Honest Business Practices’ (2021) 70 *GRUR-Int* 1025.

[55] The debate over the appropriate test for descriptiveness has been informed by different views as to the scope and usefulness of the descriptiveness defence: cf. *Procter & Gamble v. OHIM (Baby Dry)*, Case C-383/99P [2001] *ECR* I–6251 and *Wrigley v. OHIM (Doublemint)*, Case C-191/01P [2003] *ECR*-12447 (AG Jacobs).

[56] See further J. Davis, ‘Limitations to Trademark Protection’ in Calboli and Ginsburg, 558. 562.

[57] *L’Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [61]–[62]. On ‘purely’ descriptive uses that do not jeopardize the ‘origin function’, see Chapter 40, section 10.1, pp. 1137–41.

[58] Case C-100/02 [2004] *ECR* I–691; cf. *Windsurfing Chiemsee*, Cases C-108 and C-109/97 [1999] *ECR* I–2779, [28]; *Adidas v. Marca Mode*, Case C-102/07 [2008] *ECR* I–2439, [AG77].

[59] *L’Oréal v. Bellure*, Case C-487/07 [2009] *ECR I*–5185, [AG25] (AG Mengozzi); *Portakabin v. Primakabin*, Case C-558/08 [2010] *ECR* I–6963, [60]–[61]. This is now covered by the broadened referential use defence in s. 11(2)(c).

[60] Ibid., [60].

[61] Case C-102/07 [2008] *ECR* I–2439, [48]; cf. *Samuel Smith Old Brewery v. Lee* [2011] *EWHC* 1879 (Ch), [2012] *FSR* (7) 263, esp. [127].

[62] *Adam Opel v. Autec*, Case C-48/05 [2007] *ECR* I–1017; cf. ibid., [AG51] (AG Colomer).

[63] Ibid., [44].

[64] See also TMD 2015, Recital 27 (‘The exclusive rights conferred by a trade mark should not entitle the proprietor to prohibit . . . the use of descriptive or non-distinctive signs or indications in general’).

[65] See Chapter 40, section 10.1, pp. 1137–41.

[66] Max Planck Institute, *Study on the Overall Functioning of the Community Trade Mark System* (2011), [2.38]–[2.48]. On disclaimers, see Chapter 35, section 2.5. For additional interpretations, see A. Kur, 'Yellow Dictionaries, Red Banking Services, Some Candies and a Sitting Bunny: Protection of Colour and Shape Marks from a German and European Perspective', in I. Calboli and M. Senftleben (eds), *The Protection of Non-Traditional Marks: Critical Perspectives* (2018).

[67] See Chapter 38, section 2.3.1, pp. 1046–52.

[68] See Chapter 36, section 3.1, pp. 965–73.

[69] *Combe International v. Dr August Wolff* [2021] *EWHC* 3347 (Ch), [2022] *FSR* (13) 370, [255]–[264].

[70] For examples in this context, see *Samuel Smith Old Brewery v. Lee* [2011] *EWHC* 1879 (Ch), [2012] *FSR* (7) 263; *Fine and Country Ltd v. Okotoks Ltd* [2012] *EWHC* 2230 (Ch), [270] (Hildyard J).

[71] *Tomatin Distillery v. Tomatin Trading* [2021] *CSOH* 100, 2021 *SLT* 1327.

[72] *Equisafety v. Battle, Hayward and Bower* [2021] *EWHC* 3296 (IPEC), [2022] *ETMR* (11) 171, [88].

[73] I. Fhima, 'Nominative Use and Honest Practices in Industrial and Commercial Matters: A Very European History' [2007] *IPQ* 117.

[74] *PAG v. Hawk-Woods* [2002] *FSR* (46) 723, [29].

[75] *Bayerische Motorenwerke v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [64].

[76] Ibid.

[77] Ibid., [54].

[78] Ibid., [AG54], [60].

[79] *Gillette v. L.A–Laboratories*, Case C-288/03 [2005] *ECR* I–2337, [24]–[39]. See also *Portakabin v. Primakabin*, Case C-558/08 [2010] *ECR* I–6963, [62]–[66].

[80] *Gillette Co. v. L.A.-Laboratories Ltd Oy* [2007] *ETMR* (17) 235 (Supreme Court, Helsinki).

[81] There is disagreement over whether to apply the relevant principles as a modified version of the infringement (confusion) test, or as a distinct affirmative defence: C. Ferlan, 'Is This Going to be on the Test? Reconciling the Four-Way Circuit split over Handling Nominative Fair Use' (2016) 18 *N Carolina J L Tech* 33; J. McCarthy, *McCarthy on Trademarks and Unfair Competition* (5th edn, 2017, as updated), ch. 31, pt V, section C: Nominative Fair Use.

[82] TMD 2015, Art. 14(1)(c). See also TMD 2015, Recital 27 ('the proprietor should not be entitled to prevent the fair and honest use of the trade mark for the purpose of identifying or referring to the goods or services as those of the proprietor').

[83] TMD 2015, Recital 27.

[84] Ibid. See section 9 of this chapter.

[85] *Datacard v. Eagle Technologies* [2011] *EWHC* 244 (Pat), [2011] *RPC* (17) 443, [347]; *BMW v. Round and Metal* [2012] *EWHC* 2099 (Pat), [2013] *FSR* (18) 343, [113].

[86] *Bayerische Motoren Werke v. Technosport London* [2017] *EWCA Civ* 779, [2017] *FSR* (35) 817, [14].

[87] *Bayerische Motorenwerke v. Ronayne* [2013] *IEHC* 612.

[88] *Juul Labs v. MFP Enterprises* [2020] *EWHC* 3380 (Pat), [20]–[38].

[89] See A. Ohly and M. Spence, *The Law of Comparative Advertising* (2000).

[90] Directive 2006/114/EC of the European Parliament and of the Council of 12 December 2006 concerning misleading and comparative advertising [2006] *OJ L* 376/21.

[91] For background, see A. Ohly and M. Spence, *The Law of Comparative Advertising* (2000); J. Glockner, 'The Regulation of Comparative Advertising in Europe' [2012] *IIC* 35; A. Ohly, 'Trademark Law and Advertising Law in the European Union: Conflicts and Convergence', in Ginsburg and Calboli, 323.

[92] MCAD, Art. 2(c), defines 'comparative advertising' as 'any advertising which explicitly or by implication identifies a competitor or goods or services offered by a competitor'. This is 'particularly broad': *L'Oréal NV v. Bellure NV*, Case C-487/07 [2009] *ECR* I–5185, [52]. On whether registration of a domain name counts as advertising and meta-tags, see *Belgian Electronic Sorting Technology v. Bert Peelaers*, Case C-657/11, EU:C:2013:516 (use of sign in meta-tag was advertising). On when advertising is 'comparative', see *De Landtsheer Emmanuel v. Comité Interprofessionnel du Vin de Champagne, Veuve Clicquot Ponsardin*, Case C-381/05 [2007] *ECR* I–3115. On whether 'keyword advertising' might be so regarded, see *Interflora v. Marks & Spencer* [2013] *EWHC* 1291 (Ch), [2013] *FSR* (33) 775, [325].

[93] See *Pippig Augenoptik v. Hartlauer*, Case C-44/01 [2003] *ECR* I–3095, [53], [65]; *Lidl Belgium v. Etablissementen Franz Colruyt*, Case C-356/04 [2006] *ECR* I–8501 (Grand Chamber); *Lidl v. Vierzon*, Case C-159/09 [2010] *ECR* I–11761; *Kingspan Group v. Rockwool* [2011] *EWHC* 250 (Ch); *Carrefour Hypermarchés v. ITM Alimentaire International*, Case C-562/15, EU:C:2017:95.

[94] *Emmanuel v. Veuve Clicquot*, Case C-381/05 [2007] *ECR* I–3115; *Lidl Belgium v. Etablissementen Franz Colruyt*, Case C-356/04 [2006] *ECR* I–8501, esp. [28], [34], [36]; *Lidl v. Vierzon*, Case C-159/09 [2010] *ECR* I–11761.

[95] *Lidl Belgium v. Etablissementen Franz Colruyt*, Case C-356/04 [2006] *ECR* I–8501, [47], [49], [61],[70]–[74]; *Carrefour Hypermarchés v. ITM Alimentaire International*, Case C-562/15, EU:C:2017:95.

[96] See *Pippig*, Case C-44/01 [2003] *ECR* I–3095, [80].

[97] Although products outside a designation can be compared with ones within: *De Landtsheer Emmanuel v. Comité Interprofessionnel du Vin de Champagne, Veuve Clicquot Ponsardin*, Case C-381/05 [2007] *ECR* I–3115.

[98] See *Toshiba v. Katun*, Case C-112/99 [2001] *ECR* I–7945; *Pippig*, Case C-44/01 [2003] *ECR* I–3095, [84]; *L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185. For criticisms, see D. Gangjee and R. Burrell, 'Because You're Worth It' (2010) 73 *MLR* 282, 288–92.

[99] *L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [75]–[76] (comparison list for smell-a-likes implicitly presented goods as imitations of fragrances, so breached condition), [2010] *EWCA Civ* 535, [2010] *RPC* (23) 687, [38]. On the latter, see A. Kur, L. Bently, and A. Ohly, 'Sweet Smells and a Sour Taste: The ECJ's *L'Oréal* Decision' (2009) http://papers.ssrn.com/sol3/papers.cfm?abstract_id=1492032 *<http://papers.ssrn.com/sol3/papers.cfm?abstract_id=1492032>*. However, in principle comparison lists are a form of comparative advertising: *Supreme Petfoods v. Henry Bell* [2015] *EWHC* 256 (Ch), [2015] *RPC* (22) 563, [130].

[100] *Toshiba v. Katun*, Case C-112/99 [2001] *ECR* I–7945, [37]. Despite this, the EU regime is considered more restrictive than the US equivalent: T. W. Dornos and T. Wein, 'Trademarks, Comparative Advertising, and Product Imitations: An Untold Story of Law and Economics' (2016) 121 *Penn State Law Rev* 421.

[101] SI 2008/1276.

[102] See D. Fitzgerald, 'Self-regulation of Comparative Advertising in the UK' [1997] *Ent L Rev* 250.

[103] This, along with the ASA, dates back to 1962, but has been amended many times. The ASA is funded by a levy on marketing and advertising. The CAP Code can be accessed online at https://www.asa.org.uk/codes-and-rulings/advertising-codes.html <https://www.asa.org.uk/codes-and-rulings/advertising-codes.html>.

[104] CAP Code, [3.33]–[3.37], [3.41]–[3.44] (corresponding with the eight conditions of MCAD, Art. 4).

[105] CAP Code, [3.7].

[106] Ibid., 104, [60.4], [60.6], [60.28] *ff*. Complaints are normally not pursued if the point at issue is the subject of simultaneous legal action: BCAP Code, [60.32].

[107] CAP Code, 104.

[108] Ibid., 9(IVa).

[109] Ibid., 101. Its decisions are, however, amenable to judicial review and such challenges are not that infrequent; see e.g. *Cityfibre v. R (Advertising Standards Agency)* [2019] *EWHC* 950 (Admin).

[110] Ibid., 104–5.

[111] SI 2008/1276, regs 4 (setting out the conditions for permissible comparative advertising), 15 (enforcement authority may seek injunction to prevent breach of reg. 3), 18 (court powers).

[112] CAP Code, [3.33]–[3.37]. See OFT, *Business to Business Promotions and Comparative Advertisements* (2009); CMA, *Consumer Protection: Guidance on the CMA's Approach to the Use of its Consumer Powers: Consultation Document* (Sept. 2013).

[113] *O2 Holdings v. Hutchison 3G*, Case C-533/06 [2008] *ECR* I–4231, [45], [51]; *L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [54], [71].

[114] *O2 Holdings v. Hutchison 3G UK*, Case C-533/06 [2008] *ECR* I–4231, [35]; *L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [53].

[115] Ibid., [55]–[56].

[116] *O2 Holdings Ltd v. Hutchison 3G UK Ltd*, Case C-533/06 [2008] *ECR* I–4231, [46]. The possibility exists that the use of a similar mark may not produce a likelihood of confusion and yet might, e.g., be disparaging, thereby being in breach of the 2008 Regulations but not trade mark law (if the mark lacks a reputation, which is a precondition for tarnishment). In such a case, a trade mark owner might use the CAP Code, or bring an action for a declaration that the use breaches the 2008 Regulations.

[117] *Specsavers International Healthcare v. Asda Stores* [2012] *EWCA Civ* 24, [2012] *FSR* (19) 555, [150]–[151].

[118] *L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [77] (unfair advantage has the same meaning in TMD 1989, Art. 5(2), and MCAD, Art. 4(f)). This proposition needs further elaboration. It would be better to say that a comparative advertisement breaches MCAD, Art. 4(f), only where greater advantage of the repute of a mark is taken than is inevitable in any effective comparative advertisement.

[119] Recall from Chapter 38, section 2.4.3, pp. 1075–86, that deliberately taking advantage of that reputation is invariably unfair—*L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [50]; *Interflora v. Marks & Spencer*, Case C-323/09 [2011] *ECR* I–8625, [89]—and a comparative advertisement always deliberately takes advantage of the visibility (repute) of the earlier mark: *Specsavers Int'l Healthcare v. Asda Stores* [2012] *EWCA Civ* 24, [2012] *FSR* (19) 555, [164].

[120] Indeed, it might imply that comparative advertising using trade marks is never permissible, because no one would ever comparatively advertise using an unknown trade mark and a known trade mark almost certainly has a reputation: see Chapter 38, section 2.4.1, pp. 1068–70. Such a conclusion would, however, be inconsistent with the premise under which *Pippig Augenoptik v. Hartlauer*, Case C-44/01 [2003] *ECR* I–3095 and *Toshiba v. Katun*, Case C-112/99 [2001] *ECR* I–7945 were decided.

[121] *Siemens v. VIPA*, Case C-59/05 [2006] *ECR* I–2147, [15].

[122] *L'Oréal v. Bellure*, Case C-487/07 [2009] *ECR* I–5185, [77].

[123] *Interflora v. Marks & Spencer*, Case C-323/09 [2011] *ECR* I–8625, [89]–[92].

[124] *O2 Holdings v. Hutchison 3G*, Case C-533/06 [2008] *ECR* I–4231.

[125] Ibid., [AG43].

[126] TMA 1994, s. 11(3). This reflects TMD 2008, Art. 6(2); TMD 2015, Art. 14(3). See further Kerly, [17–032]–[17–044].

[127] *Caspian Pizza v. Maskeen Shah* [2017] *EWCA Civ* 1874, [2018] *FSR* (12) 345 (where the claimant commenced trading under the name Caspian elsewhere in the United Kingdom, but the defendants commenced trading under that name first in Worcester—the locality where prior goodwill was defensively asserted—the defendants had relevant priority in accordance with s. 11(3)). Cf. *Redd Solicitors v. Red Legal* [2012] *EWPCC* 54, [2013] *ETMR* (13) 213 (which is no longer good law on this issue).

[128] *Student Union Lettings v. Essex Student Lets* [2018] *EWHC* 419 (IPEC), [2018] *ETMR* (21) 533 (the student accommodation being advertised was directed at students from across the United Kingdom, who were attending two universities in Leicester).

[129] Ibid., [52].

[130] TMA 1994, s. 10(4)(c).

[131] In the case of pharmaceuticals, the price differentials are largely the result of the fact that regulatory mechanisms for price setting differ on a national basis. If parallel importing were always possible, effectively the trade mark owner would have to live with the lowest price set by any of the national authorities. There are also some products which are localized, for instance, toothpastes will be modified to fit local diet and water conditions despite being sold under the same brand name.

[132] See generally C. Stothers, *Parallel Trade in Europe: Intellectual Property, Competition and Regulatory Law* (2007); L. G. Grigoriadis, *Trade Marks and Free Trade: A Global Analysis* (2014), ch. 7; I. Calboli and E. Lee (eds), *Research Handbook on Intellectual Property Exhaustion and Parallel Imports* (2016).

[133] See Bently and Sherman (2018), Chapter 41, section 8.1 for a review.

[134] *Bristol-Myers Squibb v. Paranova A/S and C. H. Boehringer Sohn*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, [31].

[135] The principle of exhaustion applies where the same person owns the mark in the country of import and export. It also applies where the parties are economically linked—e.g. as subsidiaries of the same group: *Centrafarm BV and Adriaan De Peijper v. Sterling Drug*, Case C-15/74 [1974] *ECR* 1147—and where the distribution is effected by a licensee,

as long as it does not breach core terms of the licence. However, economic linkage does not cover the situation in which an assignment of the trade mark rights has occurred: *IHT Internationale Heiztechnik v. Ideal Standard*, Case C-9/93 [1994] *ECR* I–2789, [43]–[45].

136 See e.g. *Hoffmann-La Roche v. Centrafarm*, Case C-102/77 [1978] *ECR* 1139, [7]; *IHT Internationale Heiztechnik v. Ideal Standard*, Case C-9/93 [1994] *ECR* I–2789, [33].

137 See *Hoffmann-La Roche v. Centrafarm*, Case C-102/77 [1978] *ECR* 1139; *Centrafarm v. American Home Products Corporation*, Case C-3/78 [1978] *ECR* 1823.

138 The EEA includes all 27 EU member states as well as Iceland, Liechtenstein, and Norway.

139 *UK's Future Exhaustion of Intellectual Property Rights Regime* (June 2021).

140 Ibid.

141 For a more detailed consideration, including case studies of countries which have opted for parallel importation, see *Consultation Stage Impact Assessment on the UK's Future Regime for the Exhaustion of Intellectual Property Rights* (7 June 2021) IA No: BEIS004(C)-21-IPO. See also F. Kurz, 'Trade Mark Exhaustion after Brexit' [2019] *EIPR* 743.

142 Consultation Update, 18 January 2022; at https://www.gov.uk/government/consultations/uks-future-exhaustion-of-intellectual-property-rights-regime *<https://www.gov.uk/government/consultations/uks-future-exhaustion-of-intellectual-property-rights-regime>*.

143 *Viking Gas v. Kosan Gas*, Case C-46/10 [2011] *ECR* I– 6161, [27].

144 *Peak Holding v. Axolin-Elinor*, Case C-16/03 [2004] *ECR* I–11313.

145 *L'Oréal v. eBay International*, Case C-324/09 [2011] *ECR* I–6011.

146 *L'Oréal v. eBay International* [2009] *EWHC* 1094 (Ch), [2009] *RPC* (21) 693, [320]–[326].

147 See Chapter 39, section 2.3, pp. 1100–3.

148 Kerly, [12–081].

149 *L'Oréal v. eBay International*, Case C-324/09 [2011] *ECR* I–6011, [71].

150 Case C-46/10 [2011] *ECR* I– 6161. Four of the five members of the First Chamber deciding this case, including Rapporteur Judge Ilešič, were in the Grand Chamber in *eBay*.

151 Ibid., [30].

152 Cf. Info. Soc. Dir., Art. 4 (which provides for the exhaustion of the distribution right in the event of first sale or *first other* transfer of ownership of an 'object'), discussed in Chapter 6, section 3.4, pp. 163–5.

153 [2009] *EWHC* 1094 (Ch), [323].

154 But cf. *Coty Prestige Lancaster Group v. Simex Trading*, Case C-127/09 [2010] *ECR* I–4965; note also *L'Oréal v. eBay International*, Case C-324/09 [2011] *ECR* I–6011, [AG67].

155 *Zino Davidoff*, Cases C-414/99 and 416/99 [2001] *ECR* I–8691, [43]; *Makro v. Diesel*, Case C-324/08 [2009] *ECR* I–10019. See Stothers, 345–7.

156 *Makro v. Diesel*, Case C-324/08 [2009] *ECR* I–10019, [22].

157 Ibid., [45].

[158] Ibid., [22].

[159] Case C-59/08 [2009] *ECR* I–3421.

[160] Ibid., [51].

[161] Ibid., [24].

[162] Ibid., [37]. See also *Coty Germany v. Parfümerie Akzente*, Case C-230/16, EU:C:2017:941 (holding that certain selective distribution agreements for luxury goods, which imposed bans on sales via third-party online platforms, could withstand a competition law challenge; the Court confirmed that when the distributor breached the terms of agreement, this amounted to trade mark infringement).

[163] *Coty Prestige Lancaster Group v. Simex Trading*, Case C-127/09 [2010] *ECR*-I 4965.

[164] Ibid., [48].

[165] *Oracle America v. M-Tech Data* [2012] *UKSC* 27, [2012] 1 *WLR* 2026, [16].

[166] Moreover, there are some risks that are inherent in trade in second-hand goods; the trade mark proprietor must live with these. See *Viking Gas v. Kosan Gas*, Case C-46/10 [2011] *ECR* I–6161, [AG25] (AG Kokott). But, even with resale, the reseller must not give the impression that there is a commercial connection between it and the trade mark proprietor.

[167] *Sony Computer Entertainments v. Tesco Stores* [2000] *ETMR* 104.

[168] Case C-46/10 [2011] *ECR* I–6161.

[169] See also *Schütz (UK) v. Delta Containers* [2011] *EWHC* 1712 (Ch), [80], [85].

[170] *L'Oréal v. eBay International*, Case C-324/09 [2011] *ECR* I–6011 (Grand Chamber).

[171] See Stothers, 74–103.

[172] Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, I–3528.

[173] Ibid., 3532–3, [47]. See also *Boehringer Ingelheim v. Springward Ltd; Merck, Sharp & Dohme v. Paranova Pharmazeutica Handels*, Cases C-143/00 and C-443/99 [2002] *ECR* I–3759, [30] (hereafter *Boehringer Ingelheim (No. 1)*).

[174] Intellectual Property (Exhaustion of Rights) (EU Exit) Regulations 2019 (SI 2019/265), reg. 2.

[175] Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3533–4, [54].

[176] Ibid., [56].

[177] *Boehringer Ingelheim (No. 1)*, Case C-143/00 [2002] *ECR* I–3759, [46]. See also *Ferring Lægemidler v. Orifarm*, Case C-297/15, EU:C:2016:857 (repackaging can be objected to where (i) the medicinal product at issue can be marketed in the importing EEA member state in the same packaging as that in which it is marketed in the exporting EEA member state; and (ii) the importer has not demonstrated that the imported product can only be marketed in a limited part of the importing member's market. The Court also provided examples of when repackaging would be necessary, at [20]–[23]).

[178] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, I–3528, 3536, [57].

[179] *Frits Loendersloot v. George Ballantine & Son*, Case C-349/95 [1997] *ECR* I–6227, 6260, [45].

[180] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3534–5, [53]. This is a matter of fact for the national tribunal to determine: *Aventis Pharma Deutschland v. Kohlpharma*, Case C-433/00 [2002] *ECR* I–7761, [AG66].

[181] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3534–5, [54].

[182] Ibid., [54].

[183] *Boehringer Ingelheim (No. 1)*, Case C-143/00 [2002] *ECR* I–3759.

[184] Ibid., [51]–[52].

[185] *Boehringer Ingelheim v. Swingward*, Case C-348/04 [2007] *ECR* I–3391.

[186] Ibid., [38].

[187] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3536, [59].

[188] Ibid., [62]–[63].

[189] Ibid., 3537, [66]; *Phytheron International v. Jean Bourdon*, Case C-352/95 [1997] *ECR* I–1729, 1748, [23].

[190] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3538, [65].

[191] Ibid., [49]. In *Frits Loendersloot v. George Ballantine & Son*, Case C-349/95 [1997] *ECR* I–6227, [48], which concerned the relabelling of alcoholic drinks, the Court of Justice suggested that while, in the case of pharmaceuticals, it was necessary for a parallel importer to comply with the requirements set out in *Bristol-Myers*, it might not be necessary to do so in the case of other goods. In the case of the parallel import of alcohol, the interests of the trade mark owner, particularly to combat counterfeiting, required only that the relabeller/importer provide them with advance notice that the relabelled products are to be put on sale.

[192] *Pfizer v. Eurim-Pharm*, Case C-1/81 [1981] *ECR* 2913, [11]; *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, [74].

[193] *The Wellcome Foundation v. Paranova Pharmazeutika Handels* [2008] *ECR* I–10479 (this need not be the actual packager in cases in which that act has been delegated, but can be simply the person who arranged for the repackaging).

[194] *Hoffmann-La Roche*, Case C-102/77 [1978] *ECR* 1139, 1165, [12]; *Pfizer v. Eurim-Pharm*, Case C-1/81 [1981] *ECR* 2913, [11]; *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, [71].

[195] Ibid., [71].

[196] Ibid., [72].

[197] *Hoffmann-La Roche*, Case C-102/77 [1978] *ECR* 1139, 1165, [12].

[198] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3540–1, [77].

[199] Case C-143/00 [2002] *ECR* I–3579, [64].

[200] Ibid., [67]; *Glaxo v. Dowelhurst* [2004] *EWCA Civ* 129, [2004] *ETMR* (65) 920, [127].

[201] *Boehringer Ingelheim v. Swingward*, Case C-348/04 [2007] *ECR* I–3391, [59], [61]–[62]. If the notice requirement is breached, the matter is treated just like any other trade mark infringement: *Hollister Inc. v. Medik Ostomy Supplies* [2012] *EWCA Civ* 1419, [2013] *FSR* (24) 502.

[202] *Junek Europ-Vertrieb v. Lohmann & Rauscher*, Case C-642/16, EU:C:2018:322.

[203] Ibid., [32]–[34].

[204] Ibid., [30].

[205] Ibid., [35].

[206] Ibid., [36].

[207] *Dansac v. Salts Healthcare* [2019] *EWHC* 104 (Ch), [2019] *ETMR* (25) 475.

[208] *Bristol-Myers*, Cases C-427/93 and C-429/93 [1996] *ECR* I–3457, 3528, 3540, [75]; *Frits Loendersloot v. George Ballantine & Son*, Case C-349/95 [1997] *ECR* I–6227, 6255, [29].

[209] Ibid.

[210] Ibid., [76].

[211] Ibid., [77].

[212] Ibid.

[213] *Boehringer Ingelheim v. Swingward*, Case C-348/04 [2007] *ECR* I–3391, [38]; *Boehringer Ingelheim v. Swingward* [2008] *EWCA Civ* 83, [2008] *ETMR* (36) 604.

[214] *Nomination Di Antonio E Paolo Gensini v. Brealey* [2019] *EWHC* 599 (IPEC), [2019] *FSR* (23) 526, [44]–[64], aff'd [2020] *EWCA Civ* 103, [2020] *FSR* (28) 799.

[215] Case C-379/97 [1999] *ECR* 6927.

[216] Ibid., [37].

[217] *Centrafarm v. AHP*, Case C-3/78 [1978] *ECR* 1823, 1841–2, [21]–[23].

[218] Case C-379/97 [1999] *ECR* I–6927, [43].

[219] Ibid., [44].

[220] [2015] *EWCA Civ* 54, [2015] *RPC* (20) 521, overruling [2013] *EWHC* 3624 (Ch), [2014] *RPC* (11) 374.

[221] Ibid., [67].

[222] *Flynn Pharma v. Drugsrus* [2017] *EWCA Civ* 226, [2017] *RPC* (18) 709, aff'g [2015] *EWHC* 2759 (Ch), [2016] *RPC* (8) 331.

[223] *Parfums Christian Dior v. Evora*, Case C-337/95 [1997] *ECR* I–6013. See Stothers, 71–4. See also *Coty Germany v. Parfümerie Akzente*, Case C-230/16, EU:C:2017:941 (preservation of a luxury image can justify a restriction upon competition, in the form of conditions attached to exclusive distribution agreements). For the extent to which selective distribution agreements can be reconciled with free trade principles, see E. Engin-Deniz, 'The Right to Oppose Further Commercialisation of Goods According to Art. 15(2) of the European Union Trade Mark Regulation – A Balance of Interests?' [2020] *GRUR-Int* 998.

[224] *Parfums Christian Dior SA v. Evora BV*, Case C-337/95 [1997] *ECR* I–6013, [43]. For a defence of this reasoning, see A. Chronopoulos, 'Exceptions to Trade Mark Exhaustion: Inalienability Rules for the Protection of Reputational Economic Value' [2021] *EIPR* 352. The defence assumes that protecting the investment in brand image has social value; an assumption which is itself debateable.

[225] Ibid., [44].

226 Ibid., [45].

227 Ibid. (emphasis added).

228 Ibid., [47]. In *BMW v. Deenik*, Case C-63/97 [1999] *ECR* I–905, [64], the Court of Justice added that if there is no risk that the public will be led to believe that there is a commercial connection between the trader and the trade mark proprietor, the mere fact that the trader derived an advantage from using the mark (e.g. because the advertisements lend an aura of quality to their business) would not of itself mean that the use was dishonest. See section 3.2, pp. 151–5.

229 Case C-558/08 [2010] *ECR* I–6963.

230 Ibid., [81].

231 Ibid., [84].

232 Ibid., [86]. See also *Viking Gas v. Kosan Gas A/S*, Case C-46/10 [2011] *ECR* I–6161, [AG31]. Complete debranding has been assumed to harm the distinguishing or origin-indicating function of a trade mark in the controversial decision of *Mitsubishi v. Duma Forklifts*, Case C–129/17, EU:C:2018:594. See Chapter 40, section 6, pp. 1125–31 for criticisms.

233 *Portakabin v. Primakabin*, Case C-558/08 [2010] *ECR* I–6963, [91].

234 Case C-337/95 [1997] *ECR* I–6013.

235 Ibid., [58].

236 Ibid., [59].

237 M. Senftleben, 'Overprotection and Protection Overlaps in Intellectual Property Law – The Need for Horizontal Fair Use Defences', in A. Kur and V. Mizaras (eds), *The Structure of Intellectual Property Law: Can One Size Fit All?* (2011), 136.

238 Since the rules differ so dramatically, it is important to know when goods are placed on the market in the EEA and when outside it: see *Glaxo Group v. Dowelhurst Ltd* [2004] *EWCA Civ* 290, [2004] *ETMR* (39) 528.

239 *Phytheron v. Bourdon*, Case C-352/95 [1997] *ECR* I–1729, I–1748, 1748, [21].

240 For a review of the (scant) economic data, see Ernest & Young, *Exhaustion of Intellectual Property Rights* (UK IPO, 2019).

241 *EMI Records v. CBS United Kingdom*, Case C-51/75 [1976] *ECR* 811, 845.

242 [1980] *OJ C* 351/80, proposed Art. 6; for the Explanatory Memorandum, see European Commission, *Proposal for a First Council Directive to Approximate the Laws of the Member States Relating to Trade-marks; Proposal for a Council Regulation on the Community Trade-Mark* (Nov. 1980) COM(80) 635 final. See also Stothers, 335–6.

243 European Commission, *Amended Proposal for a Council Regulation on the Community Trade Mark* (July 1984) COM(84) 470 final; [1985] *OJ C* 351/80, 4; Stothers, 336–7.

244 Case C-355/96 [1998] *ECR* I–4799. For commentary, see A. Carboni, 'Cases about Spectacles and Torches: Now, Can We See the Light?' [1998] *EIPR* 471; Stothers, 342–4.

[245] The question had already been decided differently by the EFTA Court in *Mag Instrument v. California Trading Company Norway*, Case E-2/97 [1998] 1 *CMLR* 331, [28], in which the Court concluded that it was for each of the EFTA states to decide whether to introduce or maintain the principle of international exhaustion with regard to goods originating outside the EEA. That conclusion was reversed in the light of *Silhouette: L'Oréal Norge AD v. Per Aarskog*, Cases E-9/07 and E-10/07 [2008] *ETMR* (60) 943 (EFTA Ct).

[246] *Silhouette*, Case C-355/96 [1998] *ECR* I–4799, [25].

[247] *Zino Davidoff v. A. & G. Imports* [1999] 3 *All ER* 711.

[248] Ibid., [38].

[249] Cases C-414/99 and C-416/99 [2001] *ECR* I–8691. The test is the same as that for assessing whether there was consent to goods being placed on the market directly (rather than imported): *Makro v. Diesel*, Case C-324/08 [2009] *ECR* I–10019. See section 8.2.2.

[250] Cases C-414/99 and C-416/99 [2001] *ECR* I–8691, [43].

[251] Ibid., [45].

[252] The courts have found implied consent in at least two cases: *Corporation Habanos v. Mastercigars* [2007] *EWCA Civ* 176, [2007] *RPC* (24) 565; *Honda Motor Co. v. Naseem* [2008] *EWHC* 338 (Ch), [2008] *RPC* (32) 857. But cf. *Roche Products v. Kent Pharmaceutical* [2006] *EWCA Civ* 1775, [2007] *ETMR* (27) 397. See also *Levi Strauss v. Tesco* [2002] *EWHC* 1625 (Ch), [2003] *RPC* (18) 319.

[253] Case C-244/00 [2003] *ECR* I–3051.

[254] Ibid., [38]–[39].

[255] [2012] *UKSC* 27, [2012] 1 *WLR* 2026.

[256] Ibid., [9]. For the purposes of the hearing, the Court assumed this to be true.

[257] If so, it might have been able to rely on a Euro defence: ibid., [11].

[258] Ibid., [11].

[259] Ibid., [24].

[260] W. Sakulin, *Trade Mark Protection and Freedom of Expression* (2010); R. Burrell and D. S. Gangjee, 'Trade Marks and Freedom of Expression: A Call for Caution' (2010) 41 *IIC* 544; L. P. Ramsey, 'Reconciling Trade Mark Rights and Free Expression Locally and Globally', in D. Gervais (ed.), *International Intellectual Property: A Handbook of Contemporary Research* (2015), 341; S. Jacques, 'A Parody Exception: Why Trade Mark Owners Should Get the Joke' [2016] *EIPR* 471 (arguing for a specific parody exception in trade mark law, similar to that found in EU copyright law).

[261] As some US courts prefer. See *Rogers v. Grimaldi*, 875 *F.2d.* 994 (2nd Cir. 1989) (which adopts a two-stage enquiry: expressive use of the mark will be restrained (i) only where the work has 'no artistic relevance'; or (ii) if it has such relevance, where it nevertheless explicitly misleads consumers as to commercial source or content).

[262] *Constantin Film Produktion v. EUIPO*, Case C-240/18P, EU:C:2020:118, [56].

[263] *Unilever v. Griffin* [2010] *EWHC* 899 (Ch), [2010] *FSR* (33) 814, [11]–[14].

[264] Ibid., [15].

[265] *Mattel v. MCA Records*, 296 *F.3d*. 894, 902 (9th Cir. 2002). See L. Jordan and D. Kelly, 'Another Decade of *Rogers v. Grimaldi*: Continuing to Balance the Lanham Act with the First Amendment Rights of Creators of Artistic Works' (2019) 109 *Trademark Rep* 833.

[266] Case C-206/01 [2002] *ECR* I–10273, [40]. See also *Travelex Global and Financial Services Ltd & Interpayment Services Ltd v. Commission*, Case T–195/00 [2003] *ECR* II–1677, [93]–[104]; cf. *Arsenal v. Reed*, Case C-206/01 [2002] *ECR* I–10273, [AG63].

[267] See Chapter 38, section 2.5, pp. 1087–9.

[268] TMD 2015, Recital 27; EUTMR, Recital 21.

[269] For examples from the United States, see K. McCarthy, 'Free Ride or Free Speech? Predicting Results and Providing Advice for Trademark Disputes Involving Parody' (2019) 109 *Trademark Rep* 691.

[270] *Louis Vuitton Malletier v. Haute Diggity Dog, LLC*, 507 *F.3d.* 252 (4th Cir. 2007).

[271] W. Sakulin, *Trademark Protection and Freedom of Expression* (2011); W. Sadurski, 'Allegro without Vivaldi: Trademark Protection, Freedom of Speech, and Constitutional Balancing' [2012] *EUConst* 456; L. Ramsey and J. Schovsbo, 'Mechanisms for Limiting Trade Mark Rights to Further Competition and Free Speech' (2013) 44 *IIC* 671; R. Burrell and D. Gangjee, 'Trade Marks and Freedom of Expression: A Call for Caution' (2010) 41 *IIC* 544.

[272] M. Bohaczewski, 'Conflicts Between Trade Mark Rights and Freedom of Expression Under EU Trade Mark Law: Reality or Illusion?' (2020) 51 *IIC* 856; A. Fernandez De La Mora Hernandez, 'A Counterintuitive Approach to the Interaction Between Trademarks and Freedom of Expression in the US and Europe: A Two-Way Relationship' (2022) 39 *Berkeley J of Int L* (forthcoming).

[273] M. Senftleben, 'Robustness Check: Evaluating and Strengthening Artistic Use Defences in EU Trademark Law' (2022) 53 *IIC* 567.

[274] This should not be confused with the right of the same name which existed in UK domestic law until 2007 (TMA 1994, s. 7, and TMA 1938, s. 12(2)): see P. Johnson, 'The Rise and Fall of Honest Concurrent Use', in I. Fhima (ed.), *Sharing Names: Exploring Use of the Same Mark by Multiple Undertakings* (2009), 31.

[275] *W3 v. EasyGroup* [2018] *EWHC* 7 (Ch), [2018] *FSR* 16, [287]; *Easygroup v. Easylife* [2021] *EWHC* 1705 (Ch), [71]; *Combe International v. Dr August Wolff* [2021] *EWHC* 3347 (Ch), [2022] *FSR* (13) 370, [271].

[276] For a sense of the global scale and intensity of the litigation, see C. Heath, 'The Budweiser Cases: Geographical Indications v Trade Marks', in Gangjee (2016), 396. As Jacob LJ wryly observed, '[m]any lawyers and their families in many places must be grateful that these two parties apparently cannot produce a once and for all world-wide settlement': *Budějovický Budvar Národní Podnik v. Anheuser-Busch* [2009] *EWCA Civ* 1022, [6].

[277] *Budějovický Budvar Národní Podnik v. Anheuser-Busch*, Case C-482/09 [2011] *ECR I*–8701.

[278] Ibid., [75]–[82].

[279] *IPC Media v. Media 10* [2014] *EWCA Civ* 1439, [2015] *FSR* (12) 280, [49].

[280] *Victoria Plum v. Victorian Plumbing* [2016] *EWHC* 2911 (Ch), [2017] *FSR* 1, [74].

[281] *Bentley Motors v. Bentley 1962* [2020] *EWCA Civ* 1726, [2021] *FSR* (14) 410, [34]–[35]; *Combe International v. Dr August Wolff* [2021] *EWHC* 3347 (Ch), [2022] *FSR* (13) 370, [272].

[282] See respectively: *Budějovický Budvar,* Case C-482/09 [2011] *ECR* I–8701, [70]; *IPC Media v. Media 10* [2014] *EWCA Civ* 1439, [2015] *FSR* (12) 280, [56].

[283] *Victoria Plum* [2016] *EWHC* 2911 (Ch), [2017] *FSR* 1, [74].

[284] See section 3.2.

[285] *Victoria Plum* [2016] *EWHC* 2911 (Ch), [2017] *FSR* 1, [79].

[286] *Bentley 1962 v. Bentley Motors* [2019] *EWHC* 2925 (Ch), [2020] *FSR* (15) 339, [93] (Hacon HHJ).

[287] This was considered significant, but not dispositive, in *GNAT v. West Lake East* [2022] *EWHC* 319 (IPEC), [85]–[88]. The Court also did not give weight to the fact that the defendant was a small enterprise, given the ease of access to the public trade mark register.

[288] *Bentley 1962 v. Bentley Motors* [2019] *EWHC* 2925 (Ch), [2020] *FSR* (15) 339, [147].